

Visa & Mastercard

Addressing investor questions around European payments efforts (Wero & Digital Euro)

Analyzing and providing context around European payments alternatives and recent developments: In response to growing investor questions around European payment sovereignty, we examine the region's two most prominent payment initiatives, Wero and the Digital Euro, and quantify the smaller portions of revenue that could even be contestable by these initiatives. In summary, we see a number of challenges for local schemes and advantages for the global card networks, and view the likely long-term outcome as a coexistence between international card networks operating at scale (particularly for credit and cross-border) alongside a degree of usage by alternative European payment schemes (including Wero and/or the Digital Euro). Further, many European countries already have alternative payment systems in place, meaning any Wero success is not necessarily all incremental (some is a replacement and/or consolidation into the Wero brand). We acknowledge any potential added success of the Wero and/or Digital Euro could slightly pressure card network revenue in the region (from a volume share perspective and/or net pricing) over the longer-term. We reiterate Visa & Mastercard as two of our most preferred stocks, with the reverse DCF's currently suggesting revenue CAGRs of ~5-5.5% 2030-2040E, a level of compounding that we believe will be surpassed.

European payments sovereignty and an overview of the Digital Euro and Wero: Europe's payments strategy is increasingly focused on sovereignty, resilience, and reducing the concentration of reliance on non-European payments infrastructure, particularly international card schemes and global wallet providers. Two key initiatives sit at the center of this effort: Wero, a privately owned pan-European account-to-account (A2A) payment scheme developed by the European Payments Initiative (EPI), and the Digital Euro, a public-sector central bank digital currency (CBDC) being developed by the European Central Bank. While both efforts aim to strengthen Europe's payments autonomy, they serve different roles. Wero represents a commercial, bank-led alternative designed to compete for everyday payment flows across P2P, eCommerce, and eventually POS, while the Digital Euro is intended to function as digital cash and provide a sovereign payment rail embedded within the broader European payments ecosystem. This report provides an overview section for each of these efforts.

Sizing the most addressable portion of European revenue exposure (~HSD-LDD % for Visa and ~LDD-mid-teens% for Mastercard), suggesting manageable ~75-150bps potential revenue headwind in a ~10% share scenario: In summary, we arrive at ~HSD% of revenue most exposed for Visa when excluding the UK and ~LDD% when including. For Mastercard, we estimate ~LDD% excluding the UK and ~mid-teens % including. Importantly, these figures represent a theoretical revenue pool that could eventually become contestable by alternative European payment rails rather than an estimate of likely revenue loss. Illustratively, if Wero and/or Digital Euro were to gain ~10% share of this more addressable portion of the card network's revenue at a distant future state (which would be a success), this would impact Visa & Mastercard net revenue by ~75-150bps at that far dated time. Excel analysis available by request.

Methodology for backing into contestable card network revenue: Our analysis includes several adjustment factors after estimating EU (and a scenario which includes the UK) specific net revenue for the card networks. First, we believe the majority of inbound cross-border would need to be removed from the net revenue mix (i.e., largely merchant side network fees associated with accepting internationally issued cards, more on this and other considerations in the body of the report). Second, we believe credit is

Equities

Americas

Diversified Technology Services

Timothy E. Chiodo, CFA

Analyst

timothy.chiodo@ubs.com

+1-415-352 4500

Chris Zhang, CFA

Analyst

chris.zhang@ubs.com

+1-212-713 4911

Pat Ennis, CFA

Associate Analyst

patrick.ennis@ubs.com

+1-212-882 0090

Kyle Crews

Analyst

kyle.crews@ubs.com

+1-212-882-0088

Jing Zhang

Associate Analyst

jing.zhang1@ubs.com

+1-212-882 0091

Ella Zimmermann

Associate Analyst

ella.zimmermann@ubs.com

+1-212-713 5000

Holt Bashinsky

Associate Analyst

holt.bashinsky@ubs.com

+1-212-713 2833

Siddhanth Soni

Associate Analyst

siddhanth.soni@ubs.com

+1-212-649 8010

less likely to be impacted as consumers who choose to pay with credit (~20-25% mix in Europe based on Euromonitor and Global Payments estimates) likely value the credit availability which is not currently contemplated in the Digital Euro or Wero. We acknowledge the potential for credit offerings to be extended over time. Third is the non-transaction portion of VAS, of which we believe the majority would likely remain given Visa & Mastercard would still have relationships with the issuers (and merchant side would be less impacted). And fourth includes a token amount for the net issuer fees on outbound travel related debit cross-border payments.

Visa & Mastercard continue to be well positioned within our coverage: We continue to view Visa & Mastercard as the preferred means of gaining exposure to the broader Payments & FinTech sector. Both Visa & Mastercard provide a balanced exposure to spend alongside support from new payment flows outside traditional PCE (P2P, B2C/ G2C, B2B, etc.), supporting persistent volume growth even in a weaker macroeconomic environment. Further, from an operating expense standpoint, Visa & Mastercard have the ability to reduce costs (marketing expense in particular) to support earnings during times of slower volume growth. Additional attractive qualities include the ability to compound YoY organic net revenue in the ~LDD range over the medium-term supported by VAS revenue growth, including Visa's Pismo and broader bank tech/issuer processing opportunities, as well as Mastercard's Cyber & Fraud capabilities, and cross-border (which is benefiting from a shift toward e-commerce, a faster growth and less cyclical [relative to the largest part of the cross-border business, which is travel-related]).

"If Software Is Eating the World...Payments Is Taking a Bite": We present our 2025 flagship industry slide deck inclusive of ~400 slides related to our coverage universe, industry data, private company map, primer-like material, valuation macro updates, and "The UBS Payments, Processors, FinTech Top 40 Industry Themes," an overview of 40 topics we expect to be top of mind for investors and industry participants. See our full presentation ["If Software Is Eating the World...Payments Is Taking a Bite"](#).

Contents

European Payment Alternatives 4

Wero 8

Digital Euro 14

Risks to Visa & Mastercard 19

 Sizing the potential risk to Visa & Mastercard 21

Additional Research 25

Timothy E. Chiodo, CFA
Analyst
timothy.chiodo@ubs.com
+1-415-352 4500

Chris Zhang, CFA
Analyst
chris.zhang@ubs.com
+1-212-713 4911

Pat Ennis, CFA
Associate Analyst
patrick.ennis@ubs.com
+1-212-882 0090

Kyle Crews
Analyst
kyle.crews@ubs.com
+1-212-882-0088

Jing Zhang
Associate Analyst
jing.zhang1@ubs.com
+1-212-882 0091

Ella Zimmermann
Associate Analyst
ella.zimmermann@ubs.com
+1-212-713 5000

Holt Bashinsky
Associate Analyst
holt.bashinsky@ubs.com
+1-212-713 2833

Siddhanth Soni
Associate Analyst
siddhanth.soni@ubs.com
+1-212-649 8010

European Payment Alternatives

Headlines on Visa & Mastercard in Europe have highlighted renewed interest among European officials in supporting domestic network alternatives (including Wero and the Digital Euro). While the Single Euro Payments Area (SEPA) already facilitates cashless euro-denominated credit transfers and direct debits across 41 European countries, the most recent strategic push by policymakers toward domestic network infrastructure is in part intended to further reduce geopolitical dependence on US payment rails (with Visa & Mastercard making up ~2/3 of Eurozone card transactions per the ECB). Beyond continental initiatives such as Wero and the Digital Euro, developments including the UK's 2024 National Payments Vision reflect a collaborative, modernization-focused approach that positions card networks as complementary infrastructure partners (not substitutes), with Mastercard actively involved in shaping the ecosystem alongside A2A solutions within a broader public-private payments framework.

European payment sovereignty initiatives have resurfaced repeatedly over the past two decades, yet few have achieved meaningful scale. In our view, these efforts have historically been constrained by weak network effects, unclear economic incentives, fragmentation across domestic payment systems, and the challenge of aligning a diverse set of stakeholders, including banks, merchants, acquirers, regulators, and national payment schemes, around a single commercial and governance model.

Despite continued policy support, several structural and economic realities remain difficult to overcome:

- Europe's structural fragmentation (across countries, payment systems, regulations, consumer behaviors, etc.)
- The scale of Visa & Mastercard means that any investments in fraud prevention, security, and innovation generate global returns across debit, credit, and cross-border volumes (vs. a European domestic network would be constrained to a single region)
- European banks earn regulated interchange (20bps for debit and 30bps for credit) and would be unlikely to opt for a network alternative that reduces interchange revenue, in addition to the card networks being high functioning and relatively low cost to merchants today
- Domestic payment schemes still need to develop cross-border capabilities

Below we provide a few examples of prior pan-European alternative payment schemes and failure points.

EAPS: EAPS, launched in 2007, sought to create a pan-European debit alternative by linking existing domestic schemes, including Germany's electronic cash / girocard, Italy's Bancomat / PagoBancomat, Portugal's Multibanco, Spain's EURO 6000, the UK's LINK, and EUFISERV. The project remained closer to an interoperability layer than a true pan-European issuing and acceptance network. The project achieved only limited deployment and was discontinued around 2013.

PayFair: PayFair was a non-bank effort launched in 2007 to create a pan-European payment scheme using newly built acceptance infrastructure. It saw limited early rollouts in Belgium and the Netherlands in 2008, but was discontinued several years later after failing to build the ecosystem needed for broader adoption.

Monnet: Monnet was the most ambitious earlier card-scheme effort, backed by 24 banks, launched in 2008 and designed to create a SEPA-wide European card scheme under European governance. The project faced difficulty, including limited confidence in the business model, legal uncertainty, questions around multilateral interchange fees, the European Commission's stance on interchange, and the upfront investment required to compete with established global networks. Participating banks were effectively being asked to fund a new acceptance network while interchange revenue was under regulatory pressure, while Visa & Mastercard already had scaled merchant acceptance, consumer familiarity, issuer / acquirer connectivity, fraud tools, dispute infrastructure, and cross-border functionality.

P27: P27, while not a card scheme, provides a relevant parallel for the execution risk in

multi-country, bank-led payment infrastructure. The project aimed to create a unified Nordic real-time payments platform, but withdrew its clearing-license application in 2023 after its pan-Nordic scale case weakened, as Swedish and Danish payment-market stakeholders pursued other paths and new requirements and regulations increased the complexity of operating a cross-border clearing platform.

EPI 1.0: The original European Payments Initiative included a pan-European card-scheme ambition, but the card network plan effectively collapsed in 2022 after 20 banks withdrew. EPI then pivoted toward a digital wallet and A2A instant payment model, reinforcing the difficulty of building a new European card network without clear issuer economics, merchant adoption and critical-mass confidence.

Wero is different from prior European payment sovereignty efforts because it is not attempting to build a new card scheme or greenfield acceptance network from scratch. Instead, Wero is a bank distributed A2A wallet and commercial scheme built on SEPA Instant, initially focused on P2P before expanding into eCommerce and eventually POS. This matters because prior efforts generally failed before reaching sufficient usage to generate network effects. Wero's approach is designed to reduce cold-start risk by first building consumer familiarity through P2P, then expanding into merchant payments once consumers, banks, and PSPs are already connected. EPI has indicated Wero had 50mm+ European users when launching eCommerce in Belgium, with Belgium becoming the second online-payments market after Germany.

Wero also addresses the prior cold-start problem through acquisition rather than purely organic network formation. EPI completed the acquisition of iDEAL and Payconiq International in 2023, positioning those assets as strategic to building a unified instant account-to-account payment method and digital wallet under one brand across European markets. This is materially different from EAPS or PayFair. Rather than loosely linking fragmented domestic schemes or trying to build acceptance from zero, Wero can migrate existing local A2A flows, merchant relationships, bank connectivity, and consumer payment habits into a broader European scheme. The iDEAL-to-Wero migration also appears designed to preserve the familiar consumer checkout experience while shifting the underlying infrastructure toward Wero, with iDEAL payments expected to gradually transition to Wero infrastructure from October 2026 while consumers continue paying through their own bank.

Wero's bank incentive structure differs from prior European payment-sovereignty efforts because it is built on existing A2A infrastructure rather than a new card network. The relevant underlying rails are standard SEPA Credit Transfers and SEPA Instant Credit Transfers (though we note that clearing and settlement can be replaced by any local settlement scheme). A standard SEPA Credit Transfer is a euro-denominated A2A bank transfer that typically makes funds available by the next business day. SEPA Instant, by comparison, is designed to make funds available within ~10 seconds and operates continuously (24/7/365, including nights, weekends, and holidays).

Under the EU Instant Payments Regulation, banks offering standard euro credit transfers must also offer instant euro credit transfers, with the price of the instant transfer capped at the price of the corresponding standard transfer. This is a pricing-parity requirement rather than a requirement that all transfers be free. If a bank charges €0 for a comparable standard transfer, it cannot charge more than €0 for the instant version; if the standard transfer carries a fee, the instant-transfer fee cannot be higher. Verification-of-payee must also be provided to the payer free of charge. Separately, EU cross-border payment rules require cross-border euro payments to be priced consistently with comparable domestic payments at the bank level (though they do not establish one uniform price across banks or countries).

Wero is economically different from the underlying SEPA Instant rail. A plain SEPA transfer is a bank-to-bank payment service, with any customer-facing economics generally remaining with the payer's and beneficiary's banks. Wero adds a commercial wallet and scheme layer on top of SEPA Instant (including scheme governance, bank distribution, authentication, merchant acceptance, branding, and dispute processes). For merchant payments, Wero operates under a four-party model, with merchants accessing the payment method through an acquirer / PSP (similar to other payment methods) and pricing structured as a percentage-based fee with built-in caps.

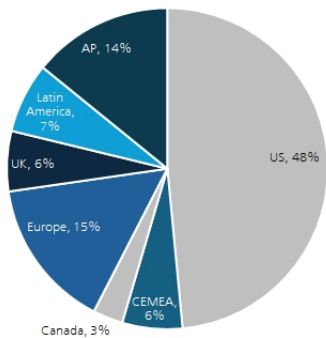
Wero / EPI therefore appears positioned to earn economics from merchant payments rather than leaving all monetization with the consumer's bank. The precise allocation is not publicly disclosed, but the commercial waterfall likely includes EPI scheme / transaction fees, merchant acquirer or PSP economics, and remuneration for participating banks / PSPs (subject to scheme rules and bilateral commercial agreements). This is distinct from a standard SEPA Instant transfer, where any direct transfer fee generally accrues to the customer's bank rather than to Wero / EPI. In practical terms, SEPA Instant provides the increasingly ubiquitous and regulated payment infrastructure, while Wero packages that infrastructure into a commercial brand and wallet.

Wero's pricing and commercial model also appears more merchant oriented than a pure card network rebuild. Wero merchant materials describe pricing as a small percentage fee with built-in caps, with merchants accessing the method through their acquirer similar to other payment methods. That gives Wero a clearer merchant proposition than sovereignty alone, including potentially lower acceptance cost, instant settlement, and a bank-backed checkout experience.

Wero also appears to have broader bank and PSP participation than many prior European efforts, with stronger bank incentives because the economics may be more attractive than earlier sovereignty-led attempts. The Wero partner ecosystem includes consumer PSP / bank members across France, Germany, Belgium, the Netherlands, and Luxembourg, as well as acceptor PSPs / acquirers including Adyen, Airwallex, Worldpay, Worldline, Nexi, Mollie, Nuvei, PPRO, Payone, Unzer, and VR Payment. EPI has also continued adding bank shareholders, including Erste Bank Oesterreich and Raiffeisen in Austria, with EPI citing 55mm+ users and further expansion through Luxembourg, the Netherlands, and Austria. By comparison, Monnet had 24 participating banks across eight European countries but still failed to establish a viable pan-European card scheme given business model, legal, interchange, and investment hurdles, with one of the key failure points being that banks lacked a compelling economic incentive to fund, promote, and drive usage of the scheme. Wero is different because banks have a clearer reason to push adoption: it gives them a commercial wrapper around instant-payment rails, potential merchant acceptance economics, and a way to retain customer payment relationships that might otherwise accrue to other wallets. Wero's broader bank / PSP distribution and better-aligned bank economics give it a stronger starting point than earlier attempts, though the key test remains whether that reach converts into merchant checkout usage rather than primarily P2P or migrated local A2A volume.

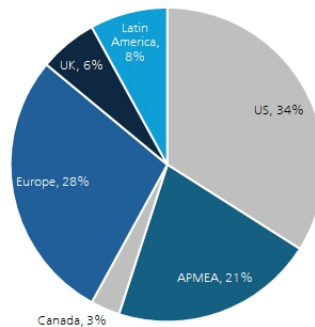
The key caveat is that Wero's early scale does not necessarily equal card displacement. Much of the initial volume may come from P2P activity and migration of existing local A2A methods such as iDEAL and Payconiq, which were already outside Visa & Mastercard rails. For Visa & Mastercard, the important indicator is whether Wero can move beyond consolidating local A2A flows and generate meaningful incremental eCommerce and POS substitution from card network addressable volume.

Figure 1: Visa payments volume mix by region (CY 2025)



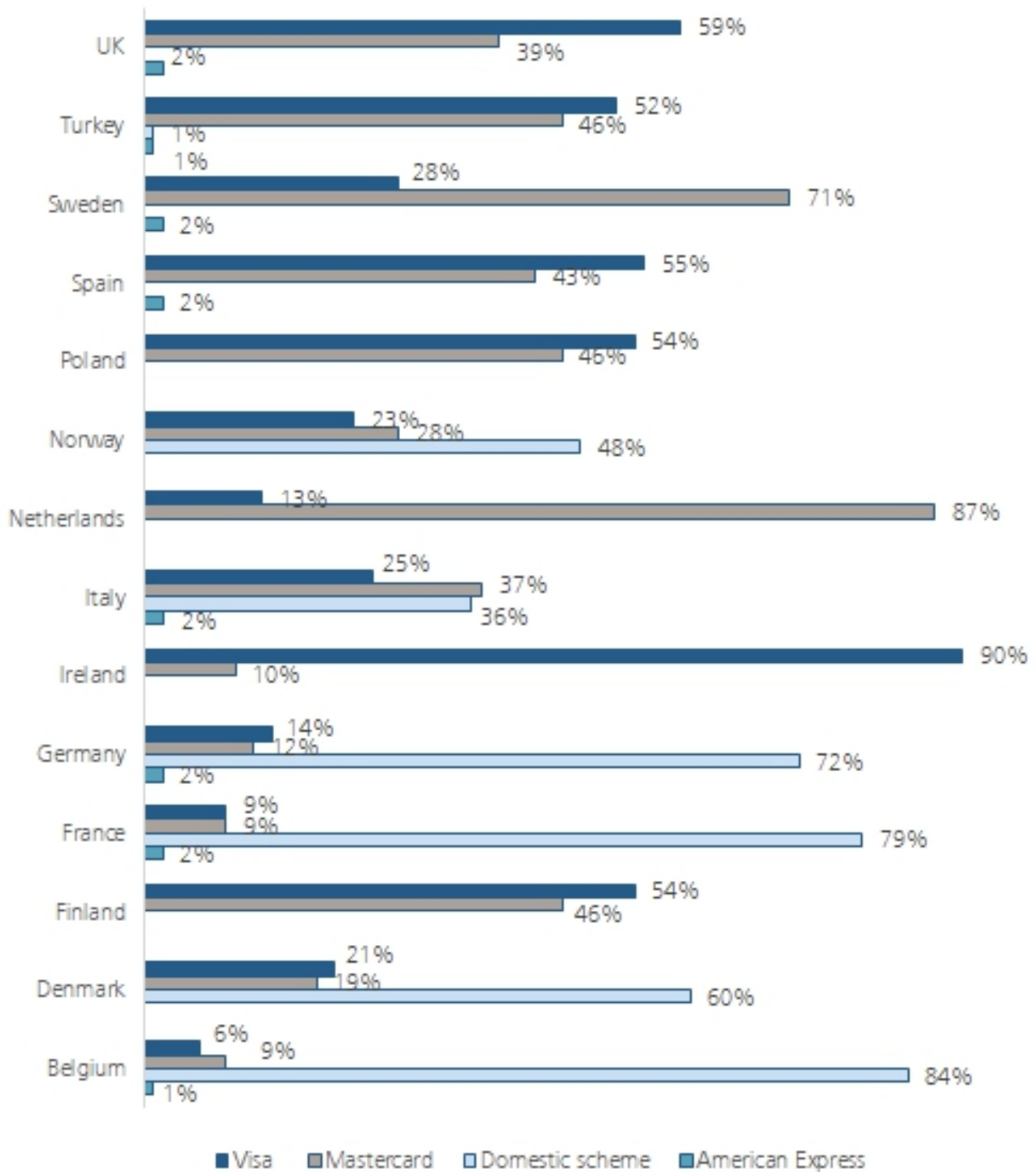
Source: Company data, Euromonitor; UBSe

Figure 2: Mastercard payments volume mix by region (CY 2025)



Source: Company data, Euromonitor; UBSe

Figure 3: 2023 card scheme share across European countries



Source: Worldpay 2025 Global Payments Report

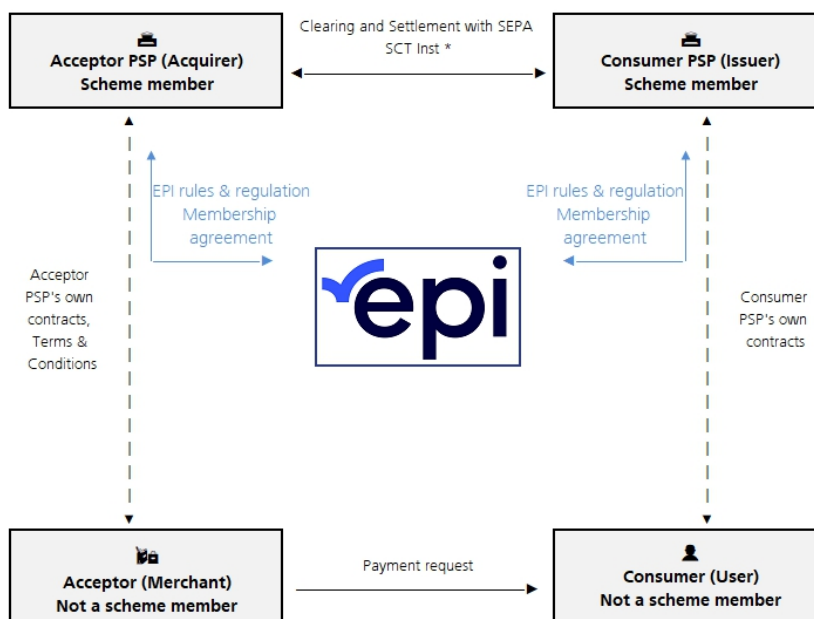
Wero

Wero is the consumer-facing digital wallet developed by the European Payments Initiative (EPI), a private joint venture backed by 18 European financial institutions across Germany, France, the Netherlands, Belgium and Luxembourg, alongside payment processors. The initiative was created to establish a sovereign pan-European digital payment solution. Similar to Visa & Mastercard, Wero operates under a four-party model, with banks acting as issuers, PSPs as acquirers, consumers as users, and merchants as acceptors. Scheme contracts and rulebook governance sit at the EPI level, while Wero serves as the consumer-facing brand visible at checkout and in everyday payment experiences, including P2P, eCommerce and, over time, in-person POS payments.

Clearing and settlement occur over SEPA Instant rails, meaning Wero is best viewed as a commercial A2A scheme layered on existing instant-payment infrastructure, rather than as a new settlement network. Put differently, Wero seeks to bring card-scheme-style governance, bank distribution, merchant acceptance, dispute management and transaction-level economics to A2A payments.

Figure 4: Wero Operating Model

EPI operates in a 4-corner model



* Clearing & Settlement through TIPS, RT1, and STET, with the choice left to individual members

Source: Wero

Although Wero is not built around a traditional interchange model, it still creates economic incentives for both EPI and participating banks. EPI generates revenue through scheme fees, transaction fees and other general fees, while we believe issuing banks may receive capped ad valorem fees that are conceptually similar to interchange, albeit outside the traditional card-regulatory framework. For merchants, the value proposition is lower-cost acceptance versus traditional card rails, instant settlement, and more predictable capped economics. Specific to the lower cost aspect, [Mollie](#), a European PSP, has published Wero rack rate pricing of ~€0.32 in Belgium and Netherlands (legacy pricing, will switch to ad valorem + fixed fee) and 90bps + €0.25 in other countries, which compares to Visa & Mastercard processing rates (i.e., MDR charged by Mollie) of 180bps + €0.25.

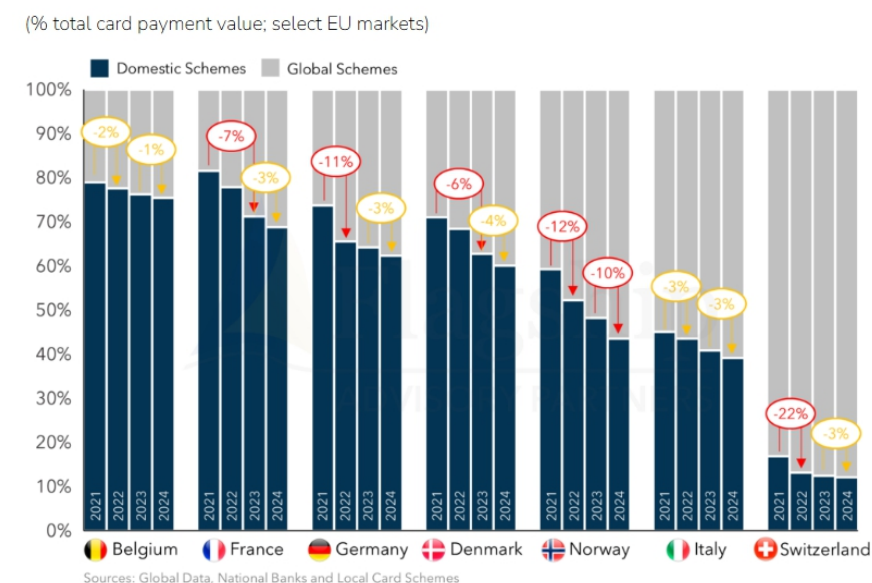
Since launching in July 2024, Wero has focused on building scale through bank distribution and customer reach. The scheme has reported more than 55mm registered users (as of Q2 2026), 49 principal members representing over 1k underlying banks, and more than €11b of transferred value (as of end of 2025). However, transaction activity remains heavily concentrated in P2P payments, with e-commerce functionality only beginning to scale in late 2025. Distribution is currently one of Wero's greatest strengths, with access to ~98% of Belgian mobile banking users, ~85% of French users and ~75% of German users, alongside meaningful reach in the Netherlands and Luxembourg. As a result, Wero has largely addressed the issuance and customer-reach challenge faced by many new payment schemes. The key remaining question is whether users who can access Wero through their banking applications ultimately adopt it as a habitual commerce payment method.

Wero's approach to migrating existing domestic payment schemes

A significant component of Wero's growth strategy relies on migration of existing domestic payment schemes rather than organic customer acquisition alone. EPI acquired iDEAL (Netherlands) and Payconiq (Belgium and Luxembourg), while Paylib users in France are being transitioned into the Wero ecosystem. This provides access to established payment behaviors across several European markets (including Belgium, Luxembourg, France, Netherlands, and Germany) spanning eCommerce and P2P payments. The transition of iDEAL in the Netherlands is an important migration to monitor, given the scheme's deep penetration in Dutch online commerce. Success will require not only consumer migration, but also the migration of merchants, acquirers, contractual relationships and operational processes. The strategic objective is to preserve the familiarity of domestic A2A payment experiences while gradually extending them into a broader pan-European framework that supports intra-Europe cross-border payments, recurring transactions, buyer protection and more advanced commerce functionality.

Additionally, we highlight data from [Flagship Advisory Partners](#) suggesting that global payment schemes (i.e., Visa & Mastercard) continue to gain share from domestic payment schemes in European markets. Though, the rate of gains has declined in recent years, which Flagship attributes to domestic schemes improving digital capabilities, political support, more favorable merchant economics, etc. For additional detail on domestic card schemes, see Theme 40 of our industry deck [here](#). According to data from the [European Central Bank](#), there are ~13 European countries that nevertheless rely entirely on international card schemes for card transactions.

Figure 5: Card payment mix by card scheme in select EU markets



Source: Flagship Advisory Partners

Additional thoughts on the opportunity

The eCommerce roadmap reflects an ambition to move beyond simple immediate payments and address categories where cards have historically been more resistant to displacement. Initial functionality revolves around a familiar alternative-payment-method checkout flow that includes a Wero button, QR-code or push-notification authentication, strong customer authentication and payment confirmation. Over time, the roadmap expands into areas such as subscriptions, one-click payments, pre-orders, usage-based payments, installments, deposits, no-show fees, event-dependent payments and payouts. In effect, Wero is not only competing on payment cost, but also attempting to replicate many of the stored-credential, authorization and lifecycle-management capabilities that underpin card usage across digital commerce.

Wero continues to expand its merchant acceptance footprint, with [Decathlon](#) adding Wero as an online payment option in Germany in July 2026. At checkout, customers selecting Wero are redirected to their existing banking app to approve the A2A payment in real time (without downloading a separate application or storing card credentials with the merchant). Decathlon has also indicated that technical integration across its 110+ German stores is in preparation (creating a potential path from eCommerce acceptance into a broader omnichannel payment experience). Importantly, the launch will be supported by a six-week nationwide promotion beginning in October 2026, under which customers paying with Wero on [decathlon.de](#) will receive a €10 voucher toward a subsequent purchase (with the campaign fully funded by EPI). We view the promotion as indicative of the investment that may be required to drive initial commerce usage and begin changing established checkout behavior (particularly given entrenched card / wallet habits).

[Lidl](#) represents another meaningful merchant acceptance win, with Wero launching on [Lidl.de](#) in July 2026 before planned expansion into Lidl's online stores in Belgium and France later in the year. Lidl also expects to introduce Wero for in-store payments, creating another potential path from eCommerce into omnichannel acceptance. The partnership is notable given Lidl's scale (approximately 12,900 stores across 32 countries and €140.2bn of FY25 store revenue) and demonstrates growing interest in Wero among large European retailers.

In-store is strategically important given that approximately 81% of euro-area card (as of 1H 2025 according to the ECB) transactions are card-present/non-remote, making physical POS the largest card-payment channel by transaction count but is operationally more challenging. Wero's POS roadmap includes merchant app payments, QR-code payments, NFC functionality and card integration capabilities, with NFC and QR-code acceptance expected to launch in Belgium, Germany and France during the second half of 2026. The long-term vision is a bank account funded contactless experience in which consumers can unlock their phone and pay directly from their current account without relying on card credentials embedded within Apple Pay or Google Pay. Achieving this vision will depend on merchant acceptance, POS software and hardware readiness, support from acquirers and payment providers, and the ability to develop new consumer habits around account-funded contactless payments.

Swish already supports native account-funded in-store payments through QR codes and POS integration (including deployments at ICA and IKEA), with consumers authorizing transactions through the Swish app and Mobile BankID. However, Swish's broader NFC tap-to-pay functionality is card-based (i.e., users add eligible Visa or Mastercard credentials to the Swish app), enabling acceptance at compatible Visa / Mastercard contactless terminals. Vipps MobilePay similarly supports native in-person payments through QR codes, phone-number entry and direct POS integrations. Its broader NFC offering currently relies on eligible debit / credit card credentials (including BankAxept-linked cards in Norway and Visa / Mastercard credentials more broadly), while direct account-funded merchant payments are planned for a later stage. Bizum Pay offers a hybrid NFC model, allowing consumers to pay directly from their bank accounts through instant A2A transfers or use eligible Visa / Mastercard debit and credit cards within the same multi-bank wallet. At launch in July 2026, Bizum indicated the service was enabled across 1mm+ terminals (approximately 60% of Spain's terminal estate), with availability expected to expand across substantially all of its ~32mm users by year-end.

Figure 6: Wero timeline

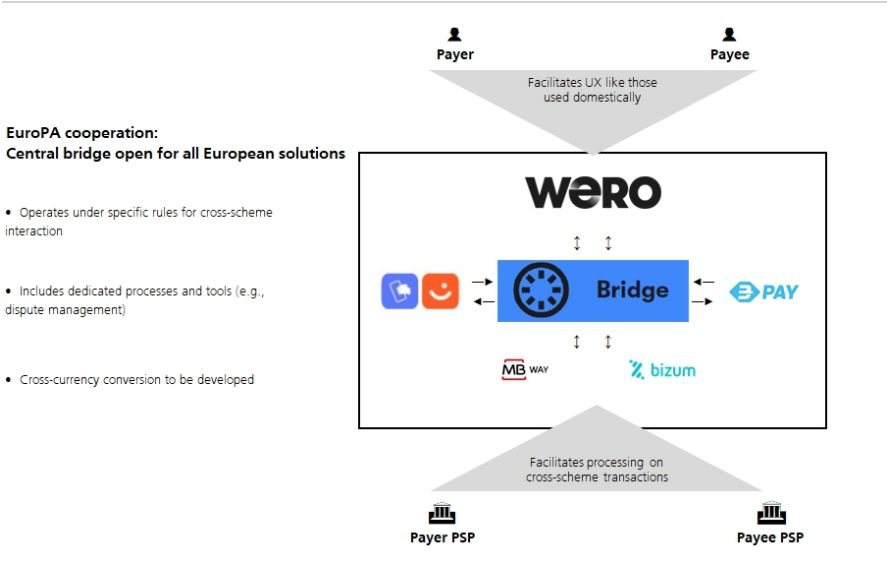
2024 – H1 2025	H2 2025	H1 2026	H2 2026	2027 and beyond
2024: P2P go-live in DE followed by BE and FR (DEBEFR) March 2025: Paylib migration finalized (FR)	E-com preparations and merchant ramp-up (DEBE) By Dec: Payconiq migration to be finalized (BE)	Commercial E-com go-live (DEBE) Start of NL migration (co-branding IDEAL / Wero) (NL) E-com preparations and merchant ramp-up (FR)	Commercial E-com go-live (FR) Launch of advanced payment plans (E-com) (DEBE) By September: Payconiq migration finalized (LU) Go-live of POS (NFC + QR-code) and card integration (DEBEFR)	Launch of advanced payment plans (E-com) (FR) Go-live of value-added services (e.g., loyalty programs, digital identity, etc.) (DEBEFR) By end of 2027: Expected end of the NL migration (NL)

Flags: DE Germany - FR France - BE Belgium - NL Netherlands - LU Luxembourg

Source: Wero

Wero's expansion strategy also incorporates interoperability rather than relying solely on direct market entry. Through EuroPA, a framework designed to connect European payment solutions, Wero can potentially interoperate with established domestic schemes such as Bizum, MB WAY and Bancomat. This is strategically important because these domestic networks already have meaningful consumer adoption in their home markets, including more than ~30mm Bizum users in Spain, ~7mm MB WAY users in Portugal and more than ~30mm active Bancomat accounts in Italy. At the aggregate level, the EuroPA / EPI cooperation represents ~130mm users across 13 countries, covering roughly 72% of the EU plus Norway population. By connecting into existing payment habits rather than forcing consumers and merchants onto a single new scheme from day one, Wero can potentially accelerate pan-European relevance through interoperability with local payment ecosystems. This reduces the need to replace every domestic payment system and supports a more pragmatic path toward European payment sovereignty.

Figure 7: EuroPA scheme



Source: Wero

Figure 8: A2A Scheme Overview in Europe

Scheme	Core market(s)	In-person / POS today?	Interoperability	Market position est.
Wero	Germany, France, Belgium, Netherlands, Luxembourg	Not broadly today, roadmap	EuroPA / EPI interoperability framework with other European wallets	55mm+ users, commerce still early, P2P-heavy today
iDEAL	Netherlands	No	Migrating into Wero	Dominant Dutch e-commerce method, ~70% of online transactions
Payconiq	Belgium, Luxembourg	Yes	Migrating into Wero	Meaningful local wallet / A2A asset, now part of Wero migration path
Bizum	Spain	Emerging / rolling out	EuroPA interoperability with Bancomat Pay, MB WAY and others	30.6mm users, 1.237bn transactions in 2025, 20-30% estimated Spanish e-commerce share
MB WAY	Portugal	Yes	EuroPA interoperability with Bizum / Bancomat, broader European expansion planned	6.5mm+ users, about 45% Portuguese e-commerce transaction share in some merchant / PSP data
IRIS	Greece	Yes, but usage still early	Joined EuroPA in June 2026; P2P cross-border live with Spain, Portugal, Italy and Andorra, with online / physical commerce interoperability planned for 2027	4.6mm citizens, 600k+ professionals, 70k online stores, and 1.2mm POS terminals enabled, but only ~330k in-store transactions in 1H26
Paylib	France	No longer standalone	Migrated / replaced by Wero in French bank apps	Legacy French P2P rail with 35mm registered users that provided a user base for Wero migration
TWINT	Switzerland	Yes	Limited pan-European interoperability; primarily domestic Swiss scheme	6mm+ users, 901mm transactions in 2025, accepted by ~81% of physical stores and ~86% of online shops in Switzerland
Bancomat / Bancomat Pay	Italy	Yes	EuroPA interoperability with Bizum / MB WAY; Wero-facing interoperability roadmap	37mm+ PagoBancomat cardholders and 400+ partners; strong domestic footprint
Vipps MobilePay	Norway, Denmark, Finland, Sweden	Yes	Nordic cross-border use live; EuroPA participation for broader European P2P	12.4mm users across Nordics; 2025 Tap to Pay live across all Nordic markets
Swish	Sweden	Yes	Limited pan-European interoperability today	8.8mm users, 1.1bn payments in 2025, 95% usage among ages 13-85
BLIK	Poland, Slovakia	Yes	Joining EuroPA / EPI interoperability push; P2P cross-border expected first, POS later	20.7mm active accounts, 2.9bn transactions and EUR 332.5bn value in 2025
Bancontact Pay / Payconiq	Belgium	Yes	Transitioning toward Wero / Bancontact architecture; Wero and Bancontact Pay QR acceptance to coexist during migration	Bancontact / Payconiq recorded 2.5bn payments in 2024; app being repositioned as Bancontact Pay, with Wero accepted through existing QR flows

Source: UBS

More broadly, sovereignty remains one of the primary drivers of bank participation. Wero is positioned as a European-owned payment scheme with European governance, ownership of intellectual property and infrastructure that is largely developed in-house. While some market participants previously viewed the Digital Euro as a reason to delay engagement, the two initiatives increasingly appear complementary. The likely long-term outcome for Europe is a coexistence model involving international card networks, private European A2A schemes such as Wero, and the eventual Digital Euro. Within that framework, Wero serves as the commercial layer focused on distribution, merchant acceptance, payment rules and transaction economics, while the Digital Euro provides a sovereign public-money alternative. The aim for Europe is not to replace Visa & Mastercard, rather to have a viable alternative for certain payments running in parallel, for sovereign reasons.

For participating banks, the economics are nuanced. Migration of payment volume away from card rails can reduce interchange revenue, although the magnitude varies by market, product mix and existing card economics. The strategic rationale for Wero appears less dependent on immediate economics and more focused on customer ownership, scheme participation, long-term volume growth and greater control over the payments value chain. Perhaps most importantly, Wero provides banks with an additional source of negotiating leverage with the card networks as it relates to incentives. Even if the scheme does not meaningfully displace Visa, Mastercard or PayPal, the existence of a credible European alternative strengthens banks' bargaining positions across pricing, partnerships and future payments strategy. Consequently, the decision to support Wero extends beyond a simple comparison of interchange economics and includes broader considerations around sovereignty, customer relationships, ownership, strategic influence and future network optionality.

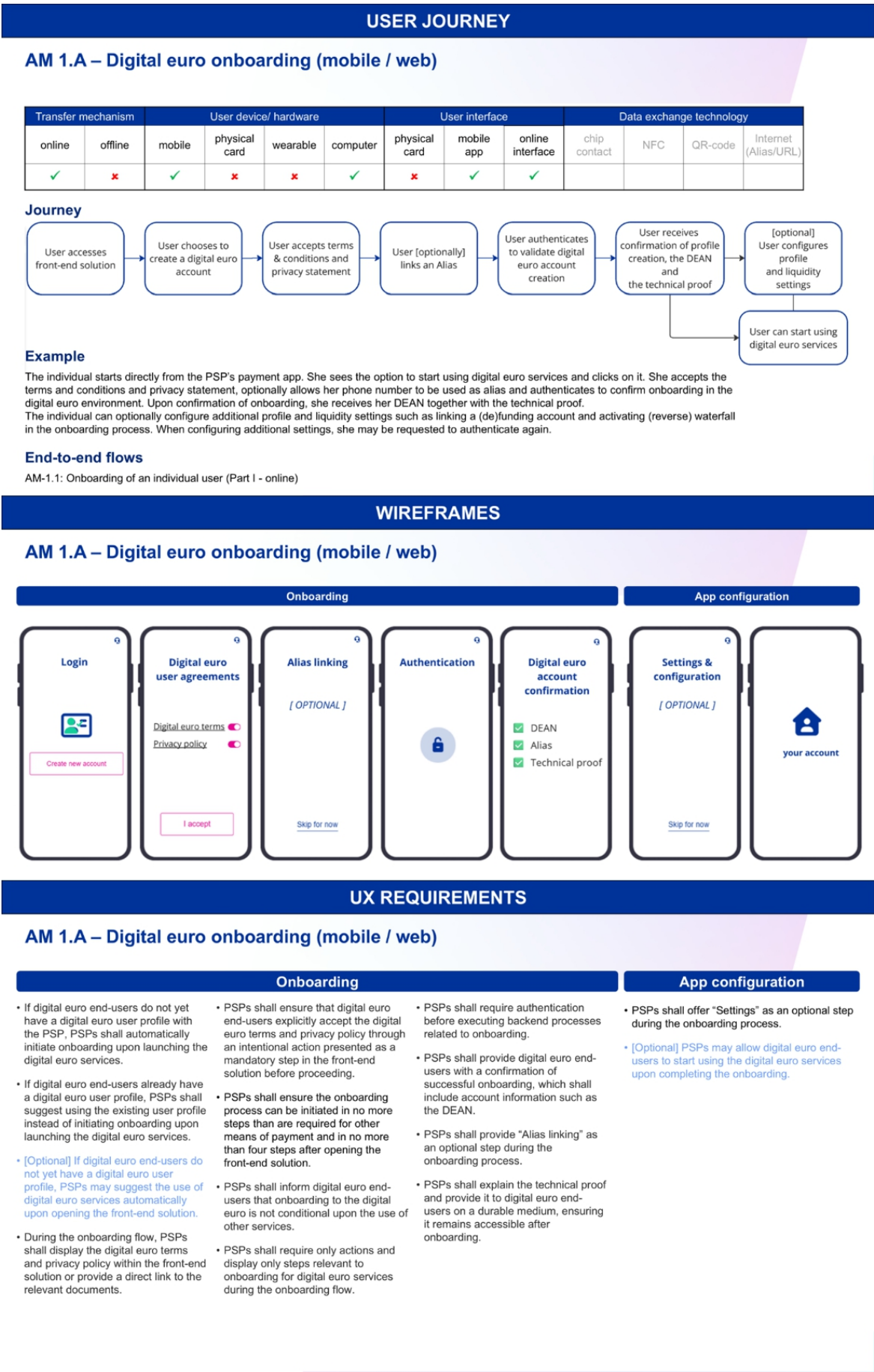
Digital Euro

The Digital Euro is part of Europe's broader effort to strengthen payments sovereignty and reduce reliance on non-European payment infrastructure. Policymakers have increasingly framed the initiative around strategic autonomy, highlighting that a significant portion of euro-area electronic payments continues to rely on international card networks and that Europe lacks a universally available pan-European digital payment instrument.

Under the current framework, the Digital Euro would be issued by the ECB / Eurosystem as a digital form of central bank money designed to complement, rather than replace, physical cash. Distribution would occur through banks and PSPs instead of directly through the ECB, making existing financial institutions the primary channel through which consumers access the product. This distribution approach is important because it allows the Digital Euro to be embedded within existing banking applications, payment cards and digital wallets, avoiding the need for consumers to adopt a separate ECB-managed application. From a progress standpoint, the European Parliament voted in July 2026 to begin negotiations, with the current timeline pointing toward legislation during 2026, pilot activity beginning around 2027 and potential issuance around 2029, subject to final legislative approval.

From a functional perspective, regulators describe the Digital Euro as operating like "digital cash" for everyday retail payments (online, offline, in-store, eCommerce, P2P and potentially selected public-sector use cases). To limit the risk of deposit migration from commercial banks into central bank money, the Digital Euro is expected to be non-interest-bearing and subject to holding limits (with prior discussion pointing to a potential cap around ~€3,000, though final calibration remains subject to policy decisions). Current legislative proposals contemplate broad merchant acceptance requirements, with potential exemptions for self-employed individuals and certain small / micro-enterprises that do not already accept digital payments. This is important because legal-tender status and broad acceptance could help address the merchant side of the traditional two-sided network challenge (i.e., creating a widely available acceptance base without building merchant-by-merchant adoption from scratch). Merchant and inter-provider fees would also be capped, which could create a lower-cost benchmark and strengthen the negotiating position of merchants, acquirers and PSPs with Visa & Mastercard, even before the Digital Euro reaches meaningful transaction volume. That said, mandatory acceptance ensures availability, not consumer preference, and meaningful card-network displacement would still depend on consumers adopting the Digital Euro for habitual payments. Core consumer services (opening an account, holding balances and accessing at least one payment instrument) would be free of charge, while distribution would extend beyond euro-area institutions by allowing banks and PSPs from non-euro EU member states to participate.

Figure 9: Consolidated user journey within existing PSP app



A notable aspect of the project is the ECB's decision to leverage existing European payments standards rather than create an entirely proprietary technology stack. In April 2026, the ECB signed agreements with ECPC, nexo standards and the Berlin Group to support Digital Euro payments and acceptance. The framework incorporates CPACE for NFC-enabled contactless payments, nexo standards for merchant-to-PSP and acquirer connectivity, and Berlin Group standards for capabilities such as alias-based payments, reconciliation, balance inquiries and merchant-initiated transactions. By building on established standards, the ECB aims to reduce implementation costs, improve interoperability across the euro area and lower dependence on proprietary technologies controlled by international card networks and global wallet providers. Importantly, the use of existing standards should allow banks, PSPs, acquirers and merchants to integrate the Digital Euro into current payment acceptance infrastructure.

The ECB has positioned inclusion and accessibility as core design principles for the Digital Euro. ECB highlights digital financial exclusion among users with low digital or financial skills, vulnerable consumers, people with disabilities, and the unbanked, including roughly 13mm adults in the EU without access to a payment account and more than one in five Europeans who do not feel comfortable using digital financial services. The ECB has also emphasized an “accessibility by design” approach, including engagement with vulnerable consumers and efforts to make the Digital Euro app usable for people with disabilities and limited digital skills. In our view, this strengthens the policy rationale for the Digital Euro (i.e., resilience, inclusion, and public-money access in a more digital payment environment), though the relevance for Visa & Mastercard depends on whether usage ultimately displaces card network addressable payment flows rather than expanding access among unbanked or underbanked consumers who may be less active in card-based payments today.

Consumer adoption considerations

The consumer experience will likely play an equally important role in determining adoption, dependent on how the Digital Euro appears within the payment journey. The most practical implementation model is unlikely to involve a standalone ECB-branded application. Instead, adoption would likely be maximized through integration into existing bank applications, PSP interfaces and potentially private European wallets (such as Wero), where consumers already manage accounts and initiate payments. Embedding Digital Euro functionality within existing user experiences could reduce friction and avoid introducing additional checkout decisions. For example, consumers could establish preferences within their banking or wallet application that automatically determine when Digital Euro balances are used, whether for low-value transactions, offline scenarios or specific merchant categories. Under this approach, the underlying payment rail would operate largely in the background, allowing consumers to transact without confronting a separate payment choice at every checkout.

Much of the debate surrounding adoption ultimately centers on whether the Digital Euro solves a consumer problem or primarily addresses a policy objective. The bullish view is that it provides Europe with a sovereign, pan-European payment infrastructure at a time when cash usage continues to decline and policymakers are increasingly focused on resilience, strategic autonomy and reduced dependence on foreign payment networks and wallet providers. Mandatory acceptance, broad bank and PSP distribution, interoperability through open standards and offline payment functionality could help overcome many of the network-effect challenges that have historically constrained the development of new payment schemes. In addition, the Digital Euro could create opportunities for banks, PSPs, processors, acquirers, fraud providers, identity vendors and payment-orchestration platforms to build services around an additional payment rail.

That said, European consumers already have access to cards, bank-transfer solutions, PayPal, Apple Pay, Google Pay, domestic payment schemes, instant-payment solutions and increasingly private European alternatives (such as Wero) that make the consumer incentive for adopting the Digital Euro less clear. Banks may also be cautious if implementation expenses, customer-service obligations, dispute-management requirements and liability frameworks are not adequately compensated. Likewise, merchants may have limited motivation to encourage usage if the economics are not meaningfully superior to existing payment methods. Offline payments arguably

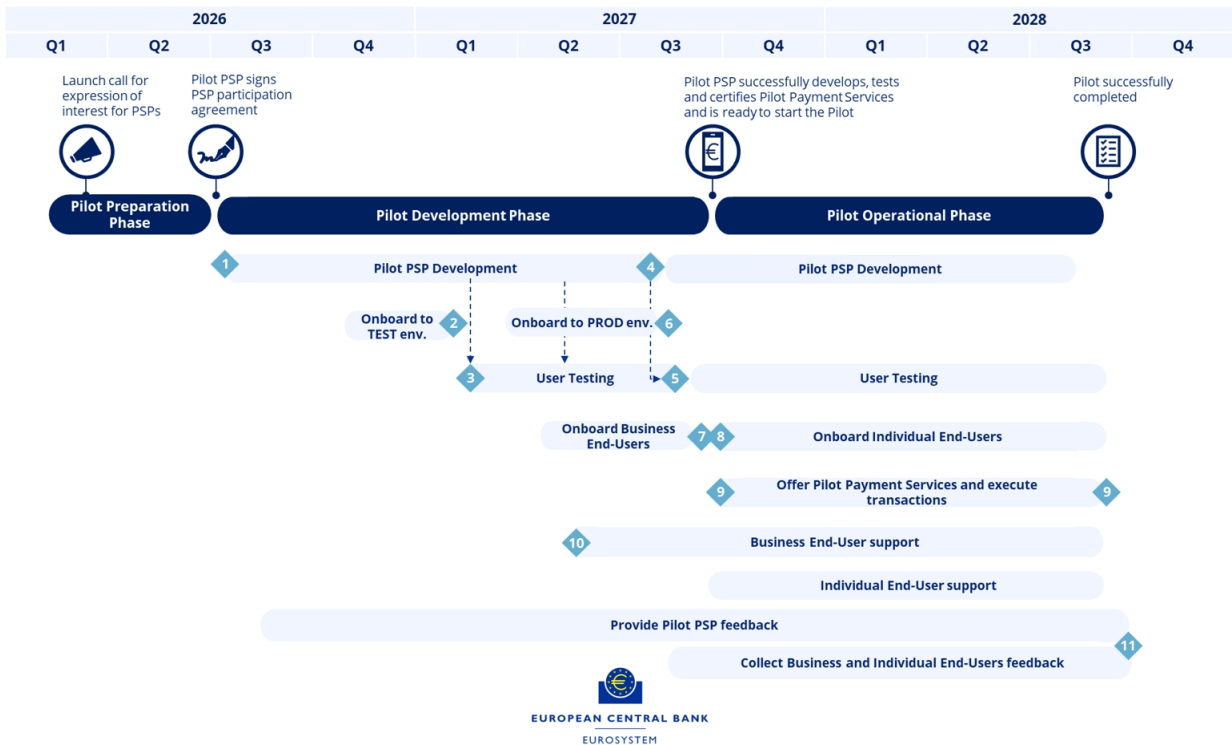
represent the most compelling unique feature, combining resilience and cash-like functionality, but may be dependent on holding limits, user experience and whether existing instant-payment tools already satisfy most everyday payment needs.

In our view, the long-term outcome of the Digital Euro will likely depend on the quality of integration within bank and PSP applications, coexistence with initiatives such as Wero, the merchant value proposition, reliability of offline functionality, privacy perceptions and, importantly, the consumer use case.

Wholesale CBDC

Wholesale CBDC should be viewed separately from the retail Digital Euro, as the ECB’s wholesale work is focused on tokenized financial market settlement rather than consumer or merchant payments. The retail Digital Euro is designed for people and businesses to make everyday payments for goods and services, while the wholesale agenda is aimed at keeping central bank money as the settlement anchor for tokenised wholesale markets. The ECB’s wholesale roadmap includes Pontes (a nearer-term distributed ledger technology [DLT] settlement solution expected to launch in 3Q26) and Appia (a longer-term roadmap for a broader European tokenised finance ecosystem, with a blueprint expected in 2028). The policy objective is consistent with the broader Digital Euro / Wero sovereignty theme (i.e., supporting European financial infrastructure, market integration, and strategic autonomy), but the use case is materially different. Importantly, the retail Digital Euro is expected to include consumer-facing safeguards such as holding limits, no remuneration, reverse waterfall functionality, and no permanent business holdings, while the wholesale CBDC materials do not set out a comparable consumer-style holding-limit or interest framework. Net, we view wholesale CBDC as less directly relevant to Visa & Mastercard’s consumer card exposure than Wero or the retail Digital Euro, though it reinforces the broader European policy direction toward reducing dependence on non-European financial infrastructure.

Figure 10: High-level Pilot timeline



Source: European Central Bank

Figure 11: Milestone Overview

Milestone overview		Reference
1	Pilot PSPs receive Pilot documentation required for development and begin their preparation and development activities.	
2	Pilot PSPs onboard to the DESP testing environment.	Appendix 2.D
3	Pilot PSPs start User Testing of the scope required for the start of the Pilot.	
4	Pilot PSPs complete the development that is required for the start of the Pilot.	Annex 1
5	Pilot PSPs finalise the User Testing and DESP backend integration that is required for the start of the Pilot.	Appendix 2.D
6	Pilot PSPs are successfully onboarded to the DESP production environment.	Appendix 2.D

Source: European Central Bank

Risks to Visa & Mastercard

While we view both Wero and the Digital Euro as potential long-term strategic risks to Visa & Mastercard's European businesses, we believe the likelihood of widespread adoption beyond the current level of domestic payment scheme penetration (e.g., IDEAL's share in the Netherlands) is low and that neither initiative should be viewed as a "card killer."

Both Wero and the Digital Euro share the objective of reducing European dependence on non-European payment infrastructure by establishing a more sovereign payments ecosystem built on European-controlled standards, governance frameworks, acceptance infrastructure, and transaction rails. While the political and strategic ambitions are broad, the practical revenue pool at risk for the international card networks is considerably smaller than headline European payment volume suggests. The areas most exposed are domestic and Intra Europe debit-like payment flows, particularly lower-friction, account-funded transactions where credit functionality, rewards (albeit limited in Europe due to capped interchange) and cross-border acceptance are less central to the consumer value proposition. By contrast, credit, commercial, and international travel appear more insulated.

Still, we believe that both initiatives are directionally negative for the long-term strength of Visa & Mastercard's domestic European debit moat, with Wero representing a more credible near-term commercial A2A threat and the Digital Euro a longer-term policy and infrastructure challenge. Specifically, we believe the most likely near-term impact of both Wero and the Digital Euro is less about visible payment-volume loss, but rather slightly increased pricing pressure. The emergence of credible alternatives can strengthen the negotiating power of banks, PSPs, acquirers and large merchants when negotiating with Visa & Mastercard. Importantly, many domestic A2A schemes already operate across Europe, meaning Visa & Mastercard already compete against these alternatives. As a result, any meaningful increase in pricing pressure would likely require Wero to generate incremental share gains beyond the pre-existing market position of the underlying domestic A2A networks, rather than merely consolidating them under a common brand and interoperable framework.

The card networks retain several key advantages

Visa & Mastercard continue to benefit from significant competitive advantages, including providing credit access, fraud-management capabilities, tokenization infrastructure, dispute resolution, strong authorization performance, global merchant acceptance, and a trusted brand with deep-rooted consumer habits. Credit is notably difficult to displace given account-funded alternatives do not replicate revolving credit, grace periods, rewards (albeit to a smaller extent in Europe), billing statements, and other card benefits (lounge access, car rental insurance, etc.). Cross-border and travel are similarly difficult to displace given the card networks' existing international acceptance footprint and risk-management capabilities.

Wero represents a more near-term competitive threat

We believe Wero is a near-term competitive threat given it is already operating as a private, bank-backed A2A scheme with a defined roadmap targeting existing card use cases. Unlike the Digital Euro, Wero does not require new legislation, central bank issuance, or public-sector implementation before pursuing scale. The scheme already combines bank distribution, SEPA Instant settlement, merchant acceptance, network governance, and transaction-level economics, giving it several of the characteristics of a traditional payment network rather than a simple bank-transfer solution. We believe the primary risk to Visa & Mastercard is not Wero's current P2P and limited A2A e-commerce activity, but its ability to expand into broader European eCommerce (noting that we consider the most vulnerable card use case to likely be domestic debit-oriented e-commerce) and, ultimately, in-person POS transactions.

Notably, Wero's roadmap extends well beyond basic A2A checkout and into recurring payments, one-click functionality, pre-orders, event-dependent payments, deposits, installments, no-show fees, and payout capabilities. If Wero succeeds in providing the

convenience and functionality of card-based checkout at a lower merchant acceptance cost, the platform could gradually pressure domestic European debit volumes and drive competitive pressure on network pricing

However, consumer reach and capability does not automatically translate into habitual commerce usage, and Wero must demonstrate that users engage with Wero beyond P2P. Additionally, Wero must migrate existing payment ecosystems such as iDEAL, Paylib and Payconiq without disrupting merchant workflows, deteriorating conversion rates, or undermining consumer familiarity. Further, while e-commerce displacement appears more easily achievable, point-of-sale displacement is likely to be substantially more difficult. Success in point-of-sale will depend on terminal readiness, NFC and QR-code acceptance, merchant training, wallet integration, and changing entrenched consumer habits. Finally, participating banks have mixed incentives with regards to Wero. While Wero may enhance sovereignty and provide participating banks with strategic leverage, the broad migration away from card rails could reduce interchange-related economics and require incremental investments in fraud prevention, servicing, disputes and liability management.

The Digital Euro longer term thoughts

We believe The Digital Euro, a public-money infrastructure initiative with an explicit policy objective centered on sovereignty and strategic autonomy, presents a different category of risk altogether. While we see less threat of near-term consumer substitution, we believe it is possible that Europe ultimately creates a mandated, pan-European acceptance layer that is supported by banks, PSPs, acquirers and merchants. The project remains a multi-year undertaking, but long-term implications could be significant if broad merchant acceptance and widespread PSP distribution create a universally available European payment rail embedded within existing financial infrastructure.

Specifically, we believe the Digital Euro could become more structurally relevant if it is integrated into existing bank and PSP applications rather than launched as a standalone ECB-branded wallet. Under such a model, consumers would continue using familiar banking and payment interfaces while merchants and payment providers incorporate the Digital Euro as another payment option within existing acceptance environments. In such a scenario, the competitive risk would be the gradual introduction of a public-money payment rail inside established checkout experiences rather than requiring consumers actively download and choose a new central-bank wallet, reducing friction and making the Digital Euro available without requiring substantial behavioral change from consumers.

However, mandatory acceptance does not guarantee meaningful adoption. Consumers already have access to a wide range of effective payment options, including cards, bank-transfer solutions, PayPal, Apple Pay, Google Pay, domestic payment schemes, and emerging European alternatives such as Wero. Unless the Digital Euro delivers a differentiated value proposition, consumer migration may remain limited. Similarly, merchants may have little incentive to encourage usage if their unit economics are only modestly different from existing methods and banks may be reluctant to support broad adoption if implementation, servicing, compliance, and dispute-management costs are not adequately compensated. Legal-tender-like status may guarantee availability, but availability alone does not create consumer preference.

Sizing the potential risk to Visa & Mastercard

We provide a framework sizing the potential risk to Visa & Mastercard. Our adjusted framework aims to size the theoretical pool of revenue that could eventually be contested by alternative European payment rails (rather than an estimate of likely revenue loss) and excludes categories that are either outside the scope of potential displacement by or considerably less addressable by Wero or the Digital Euro (i.e. international [ex EU and UK] inbound cross-border revenue, credit payment volume, non-transaction value-added services and certain cross-border debit activity). Our adjusted framework sizes revenue that is most addressable by Wero and the Digital Euro at ~HSD% of Visa's net revenue excluding the UK and ~LDD% including the UK and ~LDD% of Mastercard's revenue excluding the UK and ~mid-teens% including the UK. As our framework sizes the theoretical pool of contestable revenue rather than estimating revenue loss, we emphasize that any impact to Visa & Mastercard's net revenue is likely to be significantly smaller and emerge gradually depending on consumer habits, bank incentives, merchant acceptance, technology integration, and Visa & Mastercard's ability to defend share.

We outline adjustments to our total Visa & Mastercard European revenue mix below:

1. **Inbound ex-Intra Europe cross-border revenue:** This portion of our European net revenue estimate is mostly out of scope for the Digital Euro and Wero given it relates to merchant fees associated with international cards. We believe a portion of outbound European cross-border eCommerce could be impacted however depending on the success of the Wero (and/or Digital Euro) related to spend on foreign merchants sites (e.g., US merchant without local entity in France offering a local French consumer to checkout with the Wero). We believe this scenario exists today however (with whatever the existing domestic A2A scheme in specific countries may be), thus for incremental pressure to Visa & Mastercard revenue, Wero would have to gain greater share than existing levels of the A2A schemes they may aggregate. We include different scenarios within our Excel analysis to account for the portion of cross border revenue we adjust out of our total European net revenue estimate (with the base case being all of travel and a portion of outbound eCommerce).
2. **Credit payment volume:** We assume credit is likely less addressable due to Wero and the Digital Euro currently acting as more of a debit substitute. While there are less credit card rewards in Europe given the 30bps credit interchange cap, credit card users likely value the free float, something they wouldn't benefit from if using Wero or the Digital Euro. Longer term, we believe it's possible for the Wero or Digital Euro to offer credit and/or installments (similar to the credit line at banks through [UPI](#)). With that said, we see less likelihood of this occurring in the next few years given the nascency of these products and lower credit mix / demand within Europe (~20-25% based on Euromonitor and Global Payments / Worldpay estimates). Similar to the cross border adjustment, we also include different credit revenue mix scenarios in our Excel analysis (with the base case including an adjustment for all of credit).
3. **Non-transaction VAS:** We believe the non-transaction portion of VAS is likely less addressable given Visa & Mastercard will still maintain relationships with issuers in a scenario where Wero or the Digital Euro are broadly successful.
4. **Outbound debit cross border ex-Intra EU:** Outbound travel related debit spend is out of scope given Digital Euro and Wero will likely be offered less on an international basis (possible as an APM in some cases though for cross border e-commerce).

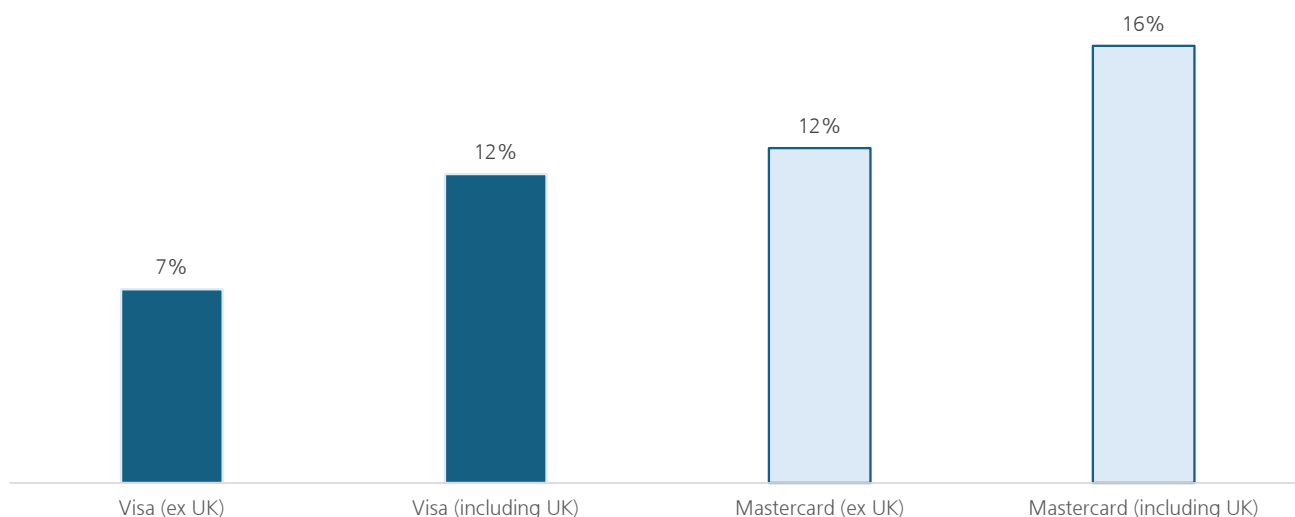
We include our summary analysis below, with two scenarios: 1) including the UK (given the potential for the Wero to [expand](#) into the UK) and 2) including just the EU. Additional considerations include: 1) commercial card revenue mix, given Wero and the Digital Euro are more geared to consumer spend (albeit we are likely capturing the large majority of commercial revenue when removing credit mix); 2) longer-term potential for cross-border acceptance outside of Europe for the Wero (similar to UPI); and 3) Visa & Mastercard have different countries comprising their European region definition. Specifically, Mastercard includes several smaller non-EU countries (including Serbia, Montenegro, Bosnia and Herzegovina, etc.) which we have not adjusted out of this analysis due to limited third party data (albeit the impact is likely small given the size of these countries).

Additional notes to the Wero / Digital Euro exposure framework

We would highlight three additional caveats to the addressable exposure framework.

- First, while intra-Europe cross-border volume is not as high-yielding as ex-Intra Europe international cross-border volume, it is still generally more economically attractive than domestic debit (and therefore remains a relevant exposure bucket). This matters because Wero is structurally well positioned for Intra European eCommerce and account-funded flows, where the consumer and merchant may sit in different European countries but the transaction can still feel local to the consumer (i.e., local language, local currency, familiar checkout experience). As a result, even if Wero does not meaningfully penetrate higher-yielding ex-Intra Europe or international card flows, it could still pressure a subset of cross-border revenue that likely carries a higher yield than domestic card volume.
- Second, the theoretical volume at risk may be somewhat broader than our framework implies because card network cross-border treatment is driven by issuer and merchant geography, not necessarily by how local the transaction feels to the consumer. A consumer may buy in local currency on a local-language website, but if the merchant of record, acquirer, or processing structure sits elsewhere, the transaction may still be treated as cross-border by Visa & Mastercard. To the extent Wero scales through large PSPs, gateways, and acquiring partners, the rail could become available at checkout for merchants that are not locally domiciled but sell heavily into European markets (i.e., localized cross-border eCommerce). This does not change our view that actual adoption is likely to be gradual and materially below the theoretical addressable pool, but it does suggest Wero's opportunity may extend beyond purely domestic payment volumes into selected localized cross-border eCommerce flows.
- [Airwallex](#), for example, has positioned Wero as lower cost than cards in its own processing example, citing Wero at 0.8% versus 3.30%-3.60% for international cards, while also noting that merchants can accept Wero without a European entity. This should be treated as Airwallex-specific pricing and availability rather than a universal Wero fee schedule.
- Third, interoperability could create incremental card volume displacement beyond transactions initiated directly through the Wero wallet. Some European wallets operate hybrid models, using native account-funded rails where domestic acceptance exists while relying on Visa or Mastercard credentials to extend their reach across borders, channels or merchant environments. As interoperability develops across Wero, EuroPA and domestic schemes, portions of this card routed volume could migrate to connected bank-account rails while consumers continue using the same familiar domestic wallet. The impact would therefore likely emerge incrementally, as individual use cases and acceptance gaps shift from card credentials to A2A routing, rather than through the wholesale replacement of a domestic scheme. Importantly, this represents the potential removal of transactions already running over Visa or Mastercard, not merely a competitive constraint on future card growth. That said, we do not believe hybrid-wallet card volume represents a meaningful component of Visa or Mastercard's European volume today, limiting the near-term financial impact. While the pace should depend on merchant acceptance, geographic coverage, consumer protections and functionality, the relevant exposure may extend beyond Wero-branded payments to existing card volume embedded within hybrid domestic wallets.

Figure 12: Visa & Mastercard contestable net revenue exposure to the Wero and Digital Euro, including and excluding the UK (UBSe)



Source: Company data, UBS estimates, Euromonitor, UN International Tourism

Figure 13: ~HSD% of Visa net revenue is the most addressable portion of Visa net revenue exposure (excluding the UK)

Visa (ex UK)	CY 2025	Comments / Rationale
European purchase volume (\$b)	3,109	Disclosed
Illustrative UK, Turkey, and Israel mix	41%	Illustrative; based on Euromonitor 2024 market share data
Europe ex UK, Turkey, and Israel (\$b)	1,822	
Yield	0.33%	International net yield of ~33bps in FY 2025
Illustrative Europe net revenue (\$mm)	6,087	
% of total company net revenue	15%	
Total company net revenue (\$mm)	41,391	Disclosed; in millions
European net revenue mix	15%	
<u>Removing more protected revenue segments:</u>		
Inbound cross-border	3%	Travel portion of cross-border likely mostly out of scope; A degree of Europe outbound eComm potentially in scope
Credit	3%	Illustrative; ~25% credit and charge card mix in Europe according to Euromonitor. Assume slightly higher yield than debit
Portion of non-transaction VAS	1%	Assume majority of non-transaction VAS remains whether debit moves off or not. Non-txn VAS x VAS mix x 75% remains x EU mix
Debit outbound issuer fees	0%	Issuer side net fees (would be recognized within Europe revenue) on majority of debit outbound cross-border ex intra EU transactions (likely out of scope)
Contestable European net revenue	7%	Excludes UK, Turkey, and Israel

Source: Company data, UBS estimates, Euromonitor, UN International Tourism

Figure 14: ~LDD% of Visa net revenue is the most addressable portion of Visa net revenue exposure (including the UK)

Visa (including UK)	CY 2025	Comments / Rationale
European purchase volume (\$b)	3,109	Disclosed
Illustrative Turkey and Israel mix	12%	Illustrative; based on Euromonitor 2024 market share data
Europe ex Turkey, and Israel (\$b)	2,732	
Yield	0.33%	International net yield of ~33bps in FY 2025
Illustrative Europe net revenue (\$mm)	9,125	
% of total company net revenue	22%	
Total company net revenue (\$mm)	41,391	Disclosed; in millions
European net revenue mix	22%	
<u>Removing more protected revenue segments:</u>		
Inbound cross-border	4%	Travel portion of cross-border likely mostly out of scope; A degree of Europe outbound eComm potentially in scope
Credit	4%	Illustrative; ~25% credit and charge card mix in Europe according to Euromonitor. Assume slightly higher yield than debit
Portion of non-transaction VAS	2%	Assume majority of non-transaction VAS remains whether debit moves off or not. Non-txn VAS x VAS mix x 75% remains x EU mix
Debit outbound issuer fees	1%	Issuer side net fees (would be recognized within Europe revenue) on majority of debit outbound cross-border ex intra EU transactions (likely out of scope)
Contestable European net revenue	12%	Excludes Turkey and Israel

Source: Company data, UBS estimates, Euromonitor, UN International Tourism

Figure 15: ~LDD% of Mastercard net revenue is the most addressable portion of net revenue exposure (excluding the UK)

Mastercard (ex UK)	CY 2025	Comments / Rationale
European purchase volume	3,029	Disclosed
Illustrative UK, Turkey, Ukraine and Israel mix	32%	Illustrative; based on Euromonitor 2024 market share data
Europe ex UK, Turkey, and Israel	2,053	
Yield	0.38%	APMEA and Europe net yield of ~38bps in FY 2025
Illustrative Europe net revenue	7,843	
% of total company net revenue	24%	
Total company net revenue	32,791	Disclosed; in millions
European net revenue mix	24%	
<u>Removing more protected revenue segments:</u>		
Inbound cross-border	3%	Travel portion of cross-border likely mostly out of scope; A degree of Europe outbound eComm potentially in scope
Credit	5%	Illustrative; ~25% credit and charge card mix in Europe according to Euromonitor. Assume slightly higher yield than debit
Portion of non-transaction VAS	3%	Assume majority of non-transaction VAS remains whether debit moves off or not. Non-tn VAS x VAS mix x 75% remains x EU mix
Debit outbound issuer fees	1%	Issuer side net fees (would be recognized within Europe revenue) on majority of debit outbound cross-border ex intra EU transactions (likely out of scope)
Contestable European net revenue	12%	Excludes UK, Turkey, Ukraine, and Israel

Source: Company data, UBS estimates, Euromonitor, UN International Tourism

Figure 16: ~Mid-teens% of Mastercard net revenue is the most addressable portion of net revenue exposure (including the UK)

Mastercard (including UK)	CY 2025	Comments / Rationale
European purchase volume	3,029	Disclosed
Illustrative Turkey, Ukraine, and Israel mix	13%	Illustrative; based on Euromonitor 2024 market share data
Europe ex Turkey and Israel	2,649	
Yield	0.38%	APMEA and Europe net yield of ~38bps in FY 2025
Illustrative Europe net revenue	10,120	
% of total company net revenue	31%	
Total company net revenue	32,791	Disclosed; in millions
European net revenue mix	31%	
<u>Removing more protected revenue segments:</u>		
Inbound cross-border	4%	Travel portion of cross-border likely mostly out of scope; A degree of Europe outbound eComm potentially in scope
Credit	6%	Illustrative; ~25% credit and charge card mix in Europe according to Euromonitor. Assume slightly higher yield than debit
Portion of non-transaction VAS	4%	Assume majority of non-transaction VAS remains whether debit moves off or not. Non-tn VAS x VAS mix x 75% remains x EU mix
Debit outbound issuer fees	1%	Issuer side net fees (would be recognized within Europe revenue) on majority of debit outbound cross-border ex intra EU transactions (likely out of scope)
Contestable European net revenue	16%	Excludes Turkey, Ukraine, and Israel

Source: Company data, UBS estimates, Euromonitor, UN International Tourism

Additional Research

Visa (V) / Mastercard (MA) - An alternative look at the net revenue growth algorithm; Adding DCF analysis to determine what's priced in: As an addendum to our original "[Visa & Mastercard Growth Algorithm](#)" note, we take a different spin on how we approach the net revenue growth algorithm, focused on 5 different elements of the business, including the domestic portions of Consumer, Commercial, and Visa Direct, as well as Cross-Border and Value-Added Services revenue (more on this below). In addition to our segment level build up to net revenue growth, we have also added a DCF to both our Visa & Mastercard models. The impetus here was to sensitize for several investor concerns surrounding the stocks today (whether merited or not) and allow investors to input their own assumptions to see what the share price implies in slower revenue growth impacted scenarios (we provide more detail below). All Excel available by request and within our Visa & Mastercard model. See full deep dive [here](#).

Visa (V) / Mastercard (MA) - Visa Direct & Mastercard Move Reference: This ~100 page deep dive report serves as a reference, which highlights the money movement services of the card networks, specifically, Visa Direct & Mastercard Move. We include descriptions of the offerings, historical context, and mechanics of both Visa's & Mastercard's offerings, alongside transaction, volume, and revenue contributions. We believe Visa Direct & Mastercard Move serve as important assets within the card networks' broader solution set (introduced as a cornerstone of Visa's "network of networks" and Mastercard's "multi-rail" strategies). These capabilities are supportive of TAM expansive use cases beyond core consumer PCE flows (C2B carded transactions) and traditional B2B transactions (T&E and invoice/AP B2B), and into large incremental money movement TAMs across P2P, B2C, B2B, and G2C. See full deep dive [here](#).

Visa (V) & Mastercard (MA) - Adjusted US Volumes vs. Addressable US PCE Analysis: We provide an analysis of how Visa Mastercard's "true" C2B volumes compare to our definition of addressable PCE. With Visa Mastercard US volume growth largely residing in the ~6-7% growth range over the past few years on a reported basis, investors often ask about the spread between Visa Mastercard's reported US volume growth relative to US PCE. We believe that any such analysis must adjust card network volumes for non-C2B flows (B2B, Visa Direct/Mastercard Move), while also adjusting PCE volumes to remove portions with more limited carded addressability (e.g., healthcare, housing, financial services, etc.). With that said, we expect the card networks to continue to deliver above PCE growth in the US on a reported basis, driven in part by ramping contributions from new flows (Visa Direct Mastercard Move, B2B). Excel time series of our analysis available by request. See full report [here](#).

Visa (V) - Analysis & Opportunity in 2026: While the main focus has shifted to the Credit Card Competition Act (CCCA) and the recent news of Trump suggesting a 10% interest rate cap on credit cards (we address both of these topics separately in reports [here](#) and [here](#)), this report aims to answer some of the additional and most common questions we receive on Visa's FY 2026 opportunity, including a selection of topics spanning Value-Added Services (VAS) contributions to net revenue growth, US inbound cross-border travel, pricing measures (particularly in FY 2H), FX volatility, and more. In summary, we see the potential for Visa's net revenue growth to slightly accelerate (vs. ~11.5% organic FXN in FY 2025) in FY 2026 (absent any potential disruption from Trump's proposed 10% interest rate cap on credit cards), even without the support of OBBBA-related spending benefits. Further, Visa's guidance has already digested an elevated operating expense guide and a higher tax rate, with the potential for estimate revisions to be driven by topline upside. While both Visa & Mastercard remain top picks and many of the topics here are broadly applicable to both companies, this report focuses specifically on Visa. See our note "[Visa Analysis & Opportunity in 2026; Analysis of a selection of key investor questions for the year ahead](#)" for more.

Visa & Mastercard (V & MA) - Additional thoughts on the Credit Card Competition Act: In this report we update and expand upon our thoughts around the Credit Card Competition Act (CCCA). While we place a low probability on bill passage (having been originally introduced in July of 2022 and has failed to be included in other legislation and/or gain broad enough support), we provide additional thoughts on this scenario including an analysis of the potential revenue exposure within US credit (both

including and excluding transaction-related VAS), an overview of the mechanics of how we believe the bill would be implemented if passed, purchase volume of banks >\$100b in assets, implications for AXP & COF, implications for large banks, PIN debit market share shifts, markets where interchange is regulated, and more. We continue to believe that the impacts to card networks (V & MA) would be in the form of US credit network fee compression (i.e., routing competition would encompass both interchange and network fees, limiting ability to pass through pricing on the merchant side and/or resulting in higher incentives). Our full report also touches on the discussion around credit interchange caps and how this approach has been taken in multiple other markets (an outcome that may not result in the same degree of network fee competition as would the CCCA, and could prove to be a more effective tool for interchange and/or total MDR reductions). We have included our revenue and EPS exposure analysis below, with this updated version slightly adjusting to account for US VAS revenue mix at ~40% (vs. prior implied ~45%). See [our updated analysis in our weekly report](#).

Visa & Mastercard (V & MA) Cross Border Deep Dive: We recently published a [~67-page deep dive](#) on the moats of Visa & Mastercard's cross-border businesses where we discuss topics like sustainability, efficiency, scalability, and much more. In addition to the global network strength, cross-border transactions also tend to be more defensible against factors such as nationalism or domestic regulations. In this report, we provide an overview of the mechanics of cross-border transactions, historic cross-border volume growth, and mix on a sub-segment level basis (travel, e-commerce, remittances, payouts, other addressable payments), alongside revenue mix and yield estimates. While we believe total cross-border volume only represents a ~HSD percentage of card network volume [~MSD ex-Intra Europe], we estimate total cross-border revenue represents ~40-45% of card network net revenue in recent years. We support our estimates by aggregating cross-border related revenues across Visa & Mastercard's income statement (explained in more detail in the report across the various revenue line items) and researching publicly disclosed cross-border fees that the card networks charge both acquirers / merchants and issuers. Full report [here](#). All analysis contained in this report is available in Excel by request.

Visa & Mastercard (V & MA) – Analyzing the Medium-Term Growth Algorithm; Updated analysis & incremental details on growth & yield components: We published [~100 page deep dive report](#) on Visa & Mastercard, where we analyze the medium-term growth algorithms for Visa & Mastercard from both a volume (PCE + cash-to-card-conversion + new flows + other Mastercard specific opportunities) and yield (value added services, cross-border, pricing and other mix-related, rebates incentives) perspective. We include additional detail around growth yield components (e.g., Visa Direct volume yield impacts, pricing mix considerations, Maestro conversions, etc.). The report also serves as a primer on many aspects of the card network's business models. Our conclusion is an expectation for ~8-9% compounding medium-term revenue growth for Visa and ~10% for Mastercard (rough mid-points within wider ranges provided in this report). We continue to believe that the card networks have many attractive qualities as durable high-quality compounders, including their balanced exposure (discretionary vs. non-discretionary, goods vs. services, online vs. in-store), ability to grow through moderate recessionary conditions (expense flexibility), profitability (~55-70% EBIT margins, high FCF conversion), high-quality EPS figures (GAAP-like and unburdened by substantial SBC), and expansion into new flows (notably via Visa Direct Mastercard Send, expanding the TAM beyond PCE-related flows). Our analysis and historical data are available in Excel by request. Full report [here](#).

Visa & Mastercard (V & MA) – Value-Added Services Overview and Medium-Term Growth Algorithm: We published a [~50 page deep dive report](#) on Visa & Mastercard's value-added services (VAS). As a result of investor concerns over more mature cash to card trends in certain developed markets, combined with a more recent re-acceleration of value-added services-related net revenue growth, this component for both networks (VAS for Visa, VAS&S for Mastercard) has come into greater focus. We attempt to provide an illustrative framework for the different components within value-added services across both companies. From a high level, value-added services growth can be broken down between: 1) transaction related services (e.g. fraud, risk identity, cybersecurity, authentication, data and analytics, etc.); and 2) all other services (consulting, advisory, loyalty / card benefits), alongside the Solutions segment that is specific to Mastercard (real-time ACH payment technology [e.g., Vocalink, Nets], bill-

pay, cross-border services, open banking, etc.). Within transaction related services, we break down the growth between transaction growth (using company reported transaction growth as a proxy), incremental penetration of existing products, pricing actions, and any additional products introduced (both organically and inorganically). Detailed analysis available in Excel by request. Full report [here](#). This analysis is supportive of the persistence of net revenue growth over the medium-term. Specifically, we expect ~8-9% compounding medium-term revenue growth for Visa and ~10% for Mastercard as part of our recent report, [Visa & Mastercard: Analyzing the Medium-Term Growth Algorithm](#), where we analyze the medium-term growth algorithms from both a volume (PCE + cash-to-card-conversion [recent report] + new flows + other Mastercard specific opportunities) and yield (value-added services, cross-border, pricing and other mix-related, rebates incentives) perspective.

Visa & Mastercard (V & MA) - Demystifying the Models; A Modeling Reference:

We published a ~100-page report, "[Demystifying the Models: a Modeling Reference](#)" that highlights various differences across the two companies' reporting structures. We include descriptions of the various revenue (& incentive) and expense lines, differences for each line between Visa & Mastercard, historical context, income statement geography (e.g., location of value added services [VAS]), and a framework for modeling considerations across each line. Full report [here](#).

Overview of US A2A Payment Rails & Use Cases: As a response to investor interest and incoming requests, we [published an A2A report](#) to serve as a primer on the broader US account-to-account (A2A) payments topic (including overviews of the ACH system, RTP, FedNow, Zelle, and others), select use cases where A2A payments could see traction, and certain barriers (commercial, mechanical, inertia, etc.) that may limit broader adoption outside specific use cases. Our view remains that traditional C2B payments may prove challenging for A2A to disintermediate, particularly in markets (like the US) that do not have regulated interchange rates (that contributes to funding of rewards programs). That said, we believe A2A-based payment methods and the businesses supporting them will see a great deal of success in their own right (particularly within certain use cases that provide a long runway [including many of which are not currently carded today and skew ACH & check], including exceptions where billers have complete control and can turn off a service), albeit with limited impact to the card-networks due to a combination of commercial, consumer behavior, and use case-related reasons. For additional details, please see our full report [here](#).

Visa & Mastercard (V & MA) - Brief thoughts on stablecoins: In light of recent headlines from Shopify (partnering with Stripe and Coinbase to enable stablecoin payment acceptance) and the WSJ (citing Amazon and Walmart contemplating stablecoin acceptance), we provide brief thoughts related to Visa & Mastercard considerations. While we believe stablecoins have the potential to play a more meaningful role in the broader financial ecosystem longer term, from the consumer's perspective, we expect core C2B use cases to be more niche and/or limited given the value proposition of card-based payments and the relative lack of consumer incentives to migrate payment methods, particularly as it relates to credit cards that offer both credit extension and, in many cases, consumer rewards (amongst other aspects such as ubiquity of acceptance, consumer protections, chargeback & disputes processes, etc.). This makes for a challenging proposition in competing with cards in most larger/developed markets (and also draws some parallels to the A2A payment discussion, albeit in this case with cross-border more in scope). Further, we believe the card networks are well positioned to play a role in rule-making, chargebacks and disputes, and additional value added services associated with any payments system. Additionally, as a degree of offset and/or consideration, in order to purchase a stablecoin and/or exchange into fiat, there would need to be an underlying payment transaction that is at least partially addressable by cards (the on ramp, although this can be ACH as well), along with various off-ramp applications (cards to enable user to spend a stablecoin balance, Visa Direct/ Mastercard Send as a potential payout mechanism). See report [here](#).

Mastercard Inc (MA.N)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (US\$m)										
Revenues	25,097	28,167	32,791	37,040	13.0	41,613	12.3	46,554	51,907	57,886
Gross profit	25,097	28,167	32,791	37,040	13.0	41,613	12.3	46,554	51,907	57,886
EBITDA (UBS)	15,345	17,349	20,543	23,422	14.0	26,444	12.9	29,726	33,345	37,502
Depreciation & amortisation	(798)	(897)	(1,143)	(1,262)	-10.5	(1,401)	-11.0	(1,547)	(1,700)	(1,860)
EBIT (UBS)	14,547	16,452	19,401	22,160	14.2	25,044	13.0	28,179	31,644	35,642
Associates & investment income	(309)	(312)	(232)	(378)	-62.9	(300)	20.6	(300)	(300)	(300)
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	0	0	0	0	-	0	-	0	0	0
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	14,238	16,140	19,169	21,782	13.6	24,744	13.6	27,879	31,344	35,342
Tax	(2,633)	(2,600)	(3,755)	(4,443)	-18.3	(5,048)	-13.6	(5,688)	(6,396)	(7,212)
Profit after tax	11,605	13,540	15,414	17,340	12.5	19,695	13.6	22,191	24,948	28,130
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(412)	(666)	(447)	(221)	50.6	0	-	0	0	0
Net earnings (local GAAP)	11,194	12,874	14,967	17,119	14.4	19,695	15.1	22,191	24,948	28,130
Net earnings (UBS)	11,605	13,540	15,414	17,340	12.5	19,695	13.6	22,191	24,948	28,130
Tax rate (%)	18.5	16.1	19.6	20.4	4.1	20.4	0.0	20.4	20.4	20.4
Per Share (US\$)										
EPS (UBS, diluted)	12.26	14.60	17.00	19.76	16.2	23.17	17.3	26.96	31.41	36.84
EPS (local GAAP, diluted)	11.82	13.88	16.51	19.50	18.1	23.17	18.8	26.96	31.41	36.84
EPS (UBS, basic)	12.29	14.63	17.03	19.79	16.2	23.21	17.3	27.00	31.46	36.91
DPS (net) (US\$)	2.28	2.64	3.04	3.57	17.4	3.93	10.1	4.29	4.65	5.01
Cash EPS (UBS, diluted) ¹	13.10	15.57	18.26	21.19	16.0	24.82	17.1	28.84	33.55	39.28
Book value per share	7.45	7.05	8.63	6.87	-20.4	6.27	-8.6	6.30	7.17	9.34
Average shares (diluted)	947	927	907	878	-3.2	850	-3.2	823	794	763
Balance Sheet (US\$m)										
Cash and equivalents	8,588	8,442	10,566	9,166	-13.3	9,173	0.1	9,844	11,167	13,394
Other current assets	10,373	11,282	12,992	17,118	31.8	18,648	8.9	20,341	22,128	24,058
Total current assets	18,961	19,724	23,558	26,283	11.6	27,821	5.9	30,185	33,295	37,452
Net tangible fixed assets	2,061	2,138	2,303	2,349	2.0	2,349	0.0	2,349	2,349	2,349
Net intangible fixed assets	7,660	9,193	9,560	9,525	-0.4	9,525	0.0	9,525	9,525	9,525
Investments / other assets	13,766	17,026	18,736	18,077	-3.5	18,077	0.0	18,077	18,077	18,077
Total assets	42,448	48,081	54,157	56,234	3.8	57,772	2.7	60,136	63,246	

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	32.6	34.1	33.8	27.7	23.3	20.0	17.2	14.6
P/E (UBS, diluted)	31.5	32.5	32.8	27.3	23.3	20.0	17.2	14.6
P/CEPS	29.3	30.4	30.5	25.4	21.7	18.7	16.1	13.7
Equity FCF (UBS) yield %	3.0	3.1	3.2	3.8	4.3	4.9	5.4	6.1
Dividend yield (net) %	0.6	0.6	0.5	0.7	0.7	0.8	0.9	0.9
P/BV	51.7	67.2	64.7	NM	NM	NM	NM	57.8
EV/revenues (core)	NM	NM	NM	NM	NM	NM	9.1	8.1
EV/EBITDA (UBS core)	24.6	26.4	26.0	20.8	17.8	15.8	14.1	12.5
EV/EBIT (core)	25.9	27.8	27.5	22.0	18.8	16.7	14.9	13.2
EV/OpFCF (core)	24.6	26.4	26.0	20.8	17.8	-	-	-
EV/op. invested capital	17.5	19.3	20.7	18.9	19.1	19.4	19.3	18.5
Enterprise value (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	362,383	441,133	515,256	484,615	484,615	484,615	484,615	484,615
Net debt (cash)	14,852	16,954	18,613	18,980	18,960	18,960	18,960	18,960
Buy out of minorities	22	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	377,257	458,087	533,869	487,595	469,975	469,975	469,975	469,975
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	377,257	458,087	533,869	487,595	469,975	469,975	469,975	469,975
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	13.1	12.2	16.4	13.0	12.3	11.9	11.5	11.5
EBITDA (UBS)	14.5	13.1	18.4	14.0	12.9	12.4	12.2	12.5
EBIT (UBS)	15.0	13.1	17.9	14.2	13.0	12.5	12.3	12.6
EPS (UBS, diluted)	14.9	19.1	16.4	16.2	17.3	16.3	16.5	17.3
Net DPS	11.8	15.8	15.2	17.4	10.1	9.2	8.4	7.7
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	NM	NM	NM	NM	NM	NM	NM	NM
EBITDA margin	61.1	61.6	62.6	63.2	63.5	63.9	64.2	64.8
EBIT (UBS) margin	58.0	58.4	59.2	59.8	60.2	60.5	61.0	61.6
Net earnings (UBS) margin	46.2	48.1	47.0	46.8	47.3	47.7	48.1	48.6
ROIC (EBIT)	67.5	69.4	NM	NM	NM	NM	NM	NM
ROIC post tax	55.0	58.2	60.6	68.2	NM	NM	NM	NM
ROE (UBS)	174.1	200.7	216.2	252.0	347.4	422.9	459.5	439.4
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	1.0	1.1	0.9	0.8	0.7	0.6	0.6	0.5
Net debt / total equity %	224.1	279.8	245.3	NM	NM	NM	NM	266.3
Net debt / (net debt + total equity) %	69.1	73.7	71.0	75.9	78.1	78.6	76.9	72.7
Net debt/EV %	3.9	3.7	3.5	3.9	4.0	4.0	4.0	4.0
Capex / depreciation %	46.5	52.8	42.8	88.5	100.0	100.0	100.0	100.0
Capex / revenue %	1.5	1.7	1.5	3.0	3.4	3.3	3.3	3.2
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	5.4	5.5	5.6	5.5	5.9	6.3	6.8	7.4
Div. payout ratio (UBS) %	18.5	18.0	17.9	18.0	16.9	15.9	14.8	13.6
Revenues by division (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	25,097	28,167	32,791	37,040	41,613	46,554	51,907	57,886
Total	25,097	28,167	32,791	37,040	41,613	46,554	51,907	57,886
EBIT (UBS) by division (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	14,547	16,452	19,401	22,160	25,044	28,179	31,644	35,642
Total	14,547	16,452	19,401	22,160	25,044	28,179	31,644	35,642

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Visa Inc (V.N)

	09/23	09/24	09/25	09/26E	%ch	09/27E	%ch	09/28E	09/29E	09/30E
Income Statement (US\$m)										
Revenues	32,653	35,926	40,000	45,813	14.5	51,180	11.7	56,563	62,347	68,457
Gross profit	32,653	35,926	40,000	45,813	14.5	51,180	11.7	56,563	62,347	68,457
EBITDA (UBS)	23,115	25,351	28,314	32,284	14.0	36,376	12.7	40,296	44,516	48,954
Depreciation & amortisation	(943)	(1,034)	(1,220)	(1,355)	-11.1	(1,512)	-11.6	(1,685)	(1,875)	(2,084)
EBIT (UBS)	22,172	24,317	27,094	30,929	14.2	34,864	12.7	38,611	42,641	46,870
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	785	1,056	876	608	-30.6	800	31.6	800	800	800
Net interest	(644)	(641)	(589)	(762)	-29.4	(800)	-5.0	(800)	(800)	(800)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	22,313	24,732	27,381	30,775	12.4	34,864	13.3	38,611	42,641	46,870
Tax	(4,033)	(4,343)	(4,839)	(5,527)	-14.2	(6,537)	-18.3	(7,433)	(8,208)	(9,023)
Profit after tax	18,280	20,389	22,542	25,248	12.0	28,327	12.2	31,178	34,432	37,848
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(1,007)	(646)	(2,484)	(592)	76.2	0	-	0	0	0
Net earnings (local GAAP)	17,273	19,743	20,058	24,656	22.9	28,327	14.9	31,178	34,432	37,848
Net earnings (UBS)	18,280	20,389	22,542	25,248	12.0	28,327	12.2	31,178	34,432	37,848
Tax rate (%)	18.1	17.6	17.7	18.0	1.6	18.8	4.4	19.3	19.3	19.3
Per Share (US\$)										
EPS (UBS, diluted)	8.77	10.05	11.47	13.24	15.5	15.32	15.7	17.31	19.61	22.11
EPS (local GAAP, diluted)	8.28	9.73	10.20	12.93	26.8	15.32	18.5	17.31	19.61	22.11
EPS (UBS, basic)	11.30	12.58	13.15	15.24	15.8	17.77	16.6	20.16	22.93	25.97
DPS (net) (US\$)	1.80	2.22	2.44	2.79	14.3	3.21	15.0	3.69	4.24	4.88
Cash EPS (UBS, diluted) ¹	9.22	10.56	12.09	13.95	15.4	16.14	15.7	18.24	20.68	23.32
Book value per share	24.16	22.89	22.35	20.78	-7.0	23.55	13.4	27.55	33.10	40.34
Average shares (diluted)	2,085	2,029	1,966	1,906	-3.0	1,849	-3.0	1,801	1,756	1,712
Balance Sheet (US\$m)										
Cash and equivalents	16,286	11,975	17,164	11,273	-34.3	15,151	34.4	20,424	27,365	36,875
Other current assets	17,246	22,058	20,602	18,620	-9.6	20,427	9.7	21,939	23,983	26,143
Total current assets	33,532	34,033	37,766	29,892	-20.8	35,578	19.0	42,364	51,348	63,018
Net tangible fixed assets	3,425	3,824	4,236	4,890	15.4	5,123	4.8	5,367	5,619	5,869
Net intangible fixed assets	44,101	45,830	47,525	48,641	2.3	48,641	0.0	48,641	48,641	48,641
Investments / other assets	9,441	10,824	10,100	10,867	7.6	11,651	7.2	12,493	13,340	14,231
Total assets	90,499	94,511	99,627	94,290	-5.4	100,993	7.1	108,865	118,948	131,759
Trade payables & other ST liabilities	23,098	26,517	29,479	28,655	-2.8	31,998	11.7	34,848	37,940	41,740
Short term debt	0	0	5,569	1,559	-72.0	1,559	0.0	1,559	1,559	1,559
Total current liabilities	23,098	26,517	35,048	30,214	-13.8	33,557	11.1	36,407	39,499	43,299
Long term debt	20,463	20,836	19,602	22,417	14.4	22,417	0.0	22,417	22,417	22,417
Other long term liabilities	8,205	8,021	7,068	7,895	11.7	7,895	0.0	7,895	7,895	7,895
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	51,766	55,374	61,718	60,526	-1.9	63,869	5.5	66,719	69,811	73,611
Common s/h equity	38,733	39,137	37,909	33,765	-10.9	37,124	9.9	42,146	49,137	58,148
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	90,499	94,511	99,627	94,290	-5.4	100,993	7.1	108,865	118,948	131,759
Cash Flow (US\$m)										
Net income (before pref divs)	17,273	19,743	20,058	24,656	22.9	28,327	14.9	31,178	34,432	37,848
Depreciation & amortisation	943	1,034	1,220	1,355	11.1	1,512	11.6	1,685	1,875	2,084
Net change in working capital	(10,022)	(15,432)	(15,172)	(20,699)	-36.4	(20,282)	2.0	(23,605)	(27,131)	(30,118)
Other operating	12,561	14,605	16,953	19,423	14.6	22,314	14.9	25,515	28,891	32,579
Operating cash flow	20,755	19,950	23,059	24,734	7.3	31,872	28.9	34,773	38,068	42,392
Tangible capital expenditure	(1,059)	(1,257)	(1,482)	(1,569)	-5.8	(1,745)	-11.3	(1,929)	(2,126)	(2,335)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	256	(1,239)	(834)	(731)	12.4	0	-	0	0	0
Other investing	(1,203)	570	3,024	975	-67.8	0	-	0	0	0
Investing cash flow	(2,006)	(1,926)	708	(1,325)	-	(1,745)	-31.8	(1,929)	(2,126)	(2,335)
Equity dividends paid	(3,751)	(4,217)	(4,634)	(4,009)	13.5	(5,908)	-47.4	(6,621)	(7,422)	(8,323)
Share issues / (buybacks)	(12,101)	(16,713)	(18,316)	(20,447)	-11.6	(20,339)	0.5	(20,950)	(21,578)	(22,225)
Other financing	(1,920)	297	3,987	0	-	0	-	0	0	0
Change in debt & pref shares	0	0	0	0	-	0	-	0	0	0
Financing cash flow	(17,772)	(20,633)	(18,963)	(24,456)	-29.0	(26,247)	-7.3	(27,571)	(29,000)	(30,548)
Cash flow inc/(dec) in cash	977	(2,609)	4,804	(1,046)	-	3,879	-	5,273	6,941	9,509
FX / non cash items	(380)	(1,702)	385	(4,845)	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	597	(4,311)	5,189	(5,891)	-	3,879	-	5,273	6,941	9,509

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
P/E (local GAAP, diluted)	27.0	27.4	32.7	27.5	23.2	20.6	18.1	16.1
P/E (UBS, diluted)	25.5	26.5	29.1	26.9	23.2	20.6	18.1	16.1
P/CEPS	18.8	20.2	24.0	22.2	19.0	16.7	14.7	13.0
Equity FCF (UBS) yield %	5.4	4.4	3.8	3.8	5.0	5.4	6.0	6.6
Dividend yield (net) %	0.8	0.8	0.7	0.8	0.9	1.0	1.2	1.4
P/BV	9.2	11.7	14.9	17.1	15.1	12.9	10.7	8.8
EV/revenues (core)	NM	NM	NM	NM	NM	NM	9.3	8.5
EV/EBITDA (UBS core)	16.6	17.6	21.0	18.7	16.0	14.5	13.1	11.9
EV/EBIT (core)	17.3	18.3	22.0	19.5	16.7	15.1	13.7	12.4
EV/OpFCF (core)	-	-	-	-	-	-	-	-
EV/op. invested capital	6.6	7.5	9.7	10.0	9.8	9.2	8.4	7.5
Enterprise value (US\$m)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
Market cap.	363,087	425,176	572,237	603,335	603,335	603,335	603,335	603,335
Net debt (cash)	21,457	20,650	23,004	24,574	23,976	23,976	23,976	23,976
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	384,543	445,825	595,240	603,737	582,800	582,800	582,800	582,800
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	384,543	445,825	595,240	603,737	582,800	582,800	582,800	582,800
Growth (%)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
Revenue	11.4	10.0	11.3	14.5	11.7	10.5	10.2	9.8
EBITDA (UBS)	11.2	9.7	11.7	14.0	12.7	10.8	10.5	10.0
EBIT (UBS)	11.3	9.7	11.4	14.2	12.7	10.7	10.4	9.9
EPS (UBS, diluted)	16.8	14.6	14.1	15.5	15.7	13.0	13.3	12.7
Net DPS	20.0	23.3	9.9	14.3	15.0	15.0	15.0	15.0
Margins & Profitability (%)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
Gross profit margin	NM	NM	NM	NM	NM	NM	NM	NM
EBITDA margin	70.8	70.6	70.8	70.5	71.1	71.2	71.4	71.5
EBIT (UBS) margin	67.9	67.7	67.7	67.5	68.1	68.3	68.4	68.5
Net earnings (UBS) margin	56.0	56.8	56.4	55.1	55.3	55.1	55.2	55.3
ROIC (EBIT)	37.8	40.8	44.0	51.2	58.7	60.7	61.2	60.4
ROIC post tax	31.0	33.6	36.3	42.0	47.7	49.0	49.5	48.8
ROE (UBS)	49.2	52.4	58.5	70.5	79.9	78.7	75.4	70.6
Capital structure & Coverage (x)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
Net debt / EBITDA	0.9	0.8	0.9	0.7	0.7	0.6	0.5	0.5
Net debt / total equity %	52.8	53.2	66.4	71.0	64.6	56.9	48.8	41.2
Net debt / (net debt + total equity) %	34.6	34.7	39.9	41.5	39.2	36.3	32.8	29.2
Net debt/EV %	5.6	4.6	3.9	4.1	4.1	4.1	4.1	4.1
Capex / depreciation %	112.3	121.6	121.5	115.8	115.4	114.5	113.4	112.0
Capex / revenue %	3.2	3.5	3.7	3.4	3.4	3.4	3.4	3.4
EBIT / net interest	34.4	37.9	46.0	40.6	43.6	48.3	53.3	58.6
Dividend cover (UBS)	6.3	5.7	5.4	5.5	5.5	5.5	5.4	5.3
Div. payout ratio (UBS) %	15.9	17.6	18.6	18.3	18.0	18.3	18.5	18.8
Revenues by division (US\$m)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
Others	32,653	35,926	40,000	45,813	51,180	56,563	62,347	68,457
Total	32,653	35,926	40,000	45,813	51,180	56,563	62,347	68,457
EBIT (UBS) by division (US\$m)	09/23	09/24	09/25	09/26E	09/27E	09/28E	09/29E	09/30E
Others	22,172	24,317	27,094	30,929	34,864	38,611	42,641	46,870
Total	22,172	24,317	27,094	30,929	34,864	38,611	42,641	46,870

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Valuation Method and Risk Statement

Valuation Method and Risk Statement

Key risks include: 1) Macro-related, in particular as it relates to consumer spending; 2) Regulatory, related to interchange-related caps (fees earned by bank issuers vs. network fees earned by the card networks); 3) Cross-border (travel e-commerce) trends given outsized yields vs. domestic transactions; 4) M&A integration and execution; and 5) FX-related, both in the form of transaction (given meaningful international exposure) and exposure to volatility (elevated FX spreads earned during periods of higher currency volatility).

Our targets are generally multiples-based and informed in part by relative multiples-to-growth (MTG), with higher relative MTG considered for companies we believe have greater persistence of growth, while also considering additional company-specific factors (e.g., customer concentration, FCF conversion, SBC GAAP metrics, various potential areas of upside not modeled, business mix [discretionary vs. non-discretionary, cyclicality, etc.], current and longer-term margin potential, relative levels of risk/confidence in estimates, etc.) alongside illustrative DCF analysis for a subset of companies (i.e., DCF used only as tool to better gauge what is implied in multiples).

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Visa Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Mastercard Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	2
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	

Question	Response
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

This document has been prepared by UBS Securities LLC, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

For information on the ways in which UBS manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit <https://www.ubs.com/disclosures>. Unless otherwise indicated, information and data in this report are based on company disclosures including but not limited to annual, interim, quarterly reports and other company announcements. The figures contained in performance charts refer to the past; past performance is not a reliable indicator of future results. Additional information will be made available upon request. UBS Securities Co. Limited is licensed to conduct securities investment consultancy businesses by the China Securities Regulatory Commission. UBS acts or may act as principal in the debt securities (or in related derivatives) that may be the subject of this report. This recommendation was finalized on: 27 July 2026 09:36 PM GMT. UBS has designated certain UBS Global Research department members as Derivatives Research Analysts where those department members publish research principally on the analysis of the price or market for a derivative, and provide information reasonably sufficient upon which to base a decision to enter into a derivatives transaction. Where Derivatives Research Analysts co-author research reports with Equity Research Analysts or Economists, the Derivatives Research Analyst is responsible for the derivatives investment views, forecasts, and/or recommendations. **Quantitative Research Review:** UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For the latest responses, please see the Quantitative Research Review Addendum at the back of this report, where applicable. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research team on the email above.

Analyst Certification:

Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that with respect to each security or issuer that the analyst covered in this report: (1) all of the views expressed accurately reflect his or her personal views about those securities or issuers and were prepared in an independent manner, including with respect to UBS, and (2) no part of his or her compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:**Forecast Stock Return (FSR)** is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:**UK and European Investment Fund ratings and definitions are:** **Buy:** Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

Research analysts contributing to this report who are employed by any non-US affiliate of UBS Securities LLC are not registered/qualified as research analysts with FINRA. Such analysts may not be associated persons of UBS Securities LLC and therefore are not subject to the FINRA restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. The name of each affiliate and analyst employed by that affiliate contributing to this report, if any, follows.

UBS Securities LLC: Chris Zhang, CFA, Ella Zimmermann, Holt Bashinsky, Jing Zhang, Kyle Crews, Pat Ennis, CFA, Siddhanth Soni, Timothy E. Chiodo, CFA.

Company Disclosures

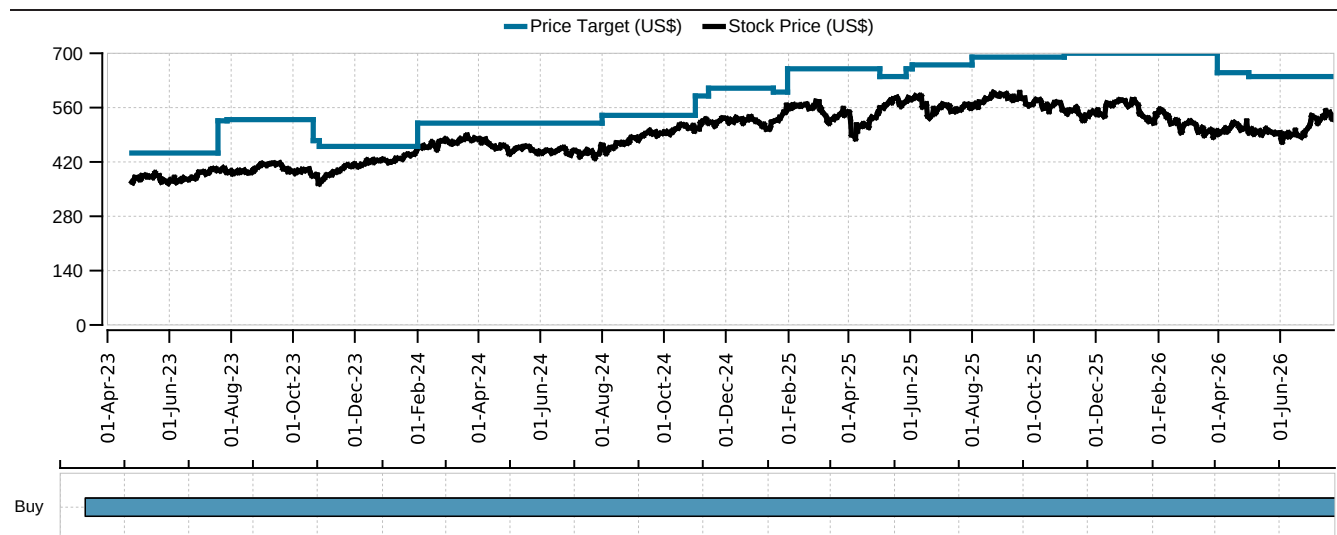
Company Name	Reuters	12-month rating	Price	Price date
Mastercard Inc ^{16,28}	MA.N	Buy	US\$539.66	24 Jul 2026
Visa Inc ^{16,28,7}	V.N	Buy	US\$355.74	24 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

7. Within the past 12 months, UBS has received compensation for products and services other than investment banking services from this company/entity.
16. UBS Securities LLC makes a market in the securities and/or ADRs of this company.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including information on valuation and risk, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

Mastercard Inc (US\$)

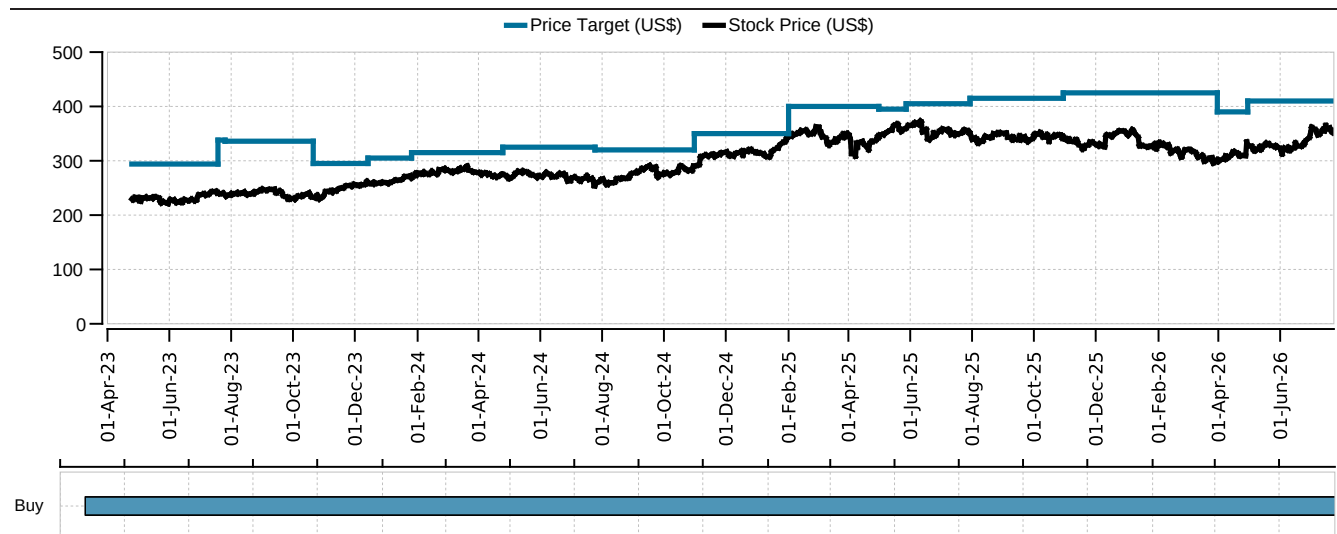


Date	Stock Price (US\$)	Price Target (US\$)	Rating
2023-04-24	374.73	443.00	Buy
2023-07-18	398.16	526.00	Buy
2023-07-27	394.50	529.00	Buy
2023-10-20	384.41	475.00	Buy
2023-10-26	364.59	460.00	Buy
2024-01-31	449.23	520.00	Buy
2024-07-31	463.71	540.00	Buy
2024-10-31	499.59	590.00	Buy
2024-11-13	521.88	610.00	Buy
2025-01-16	523.14	600.00	Buy
2025-01-30	566.01	660.00	Buy
2025-05-01	546.63	640.00	Buy
2025-05-27	574.55	660.00	Buy
2025-06-02	581.22	670.00	Buy
2025-07-31	566.47	690.00	Buy

Date	Stock Price (US\$)	Price Target (US\$)	Rating
2025-10-30	553.68	700.00	Buy
2026-03-30	494.00	650.00	Buy
2026-04-30	502.92	640.00	Buy

Source: UBS Global Research; LSEG Eikon as of 24-Jul-2026. All prices as of local market close. Ratings as of date shown.

Visa Inc (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2023-04-24	232.76	294.00	Buy
2023-07-18	240.77	338.00	Buy
2023-07-25	238.69	336.00	Buy
2023-10-20	233.38	295.00	Buy
2023-12-13	262.38	305.00	Buy
2024-01-25	272.61	315.00	Buy
2024-04-24	275.02	325.00	Buy
2024-07-24	254.17	320.00	Buy
2024-10-30	290.16	350.00	Buy
2025-01-31	341.80	400.00	Buy
2025-04-30	345.50	395.00	Buy
2025-05-27	359.30	405.00	Buy
2025-07-29	351.29	415.00	Buy
2025-10-29	341.28	425.00	Buy
2026-03-30	299.54	390.00	Buy
2026-04-29	334.86	410.00	Buy

Source: UBS Global Research; LSEG Eikon as of 24-Jul-2026. All prices as of local market close. Ratings as of date shown.

The Disclaimer relevant to Global Wealth Management clients follows the Global Research Disclaimer.

UBS Global Research Disclaimer

This document has been prepared by UBS Securities LLC, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

Any opinions expressed in this document may change without notice and are only current as of the date of publication. Different areas, groups, and personnel within UBS may produce and distribute separate research products independently of each other. For example, research publications from **UBS CIO** are produced by UBS Global Wealth Management. **UBS Global Research** is produced by UBS Investment Bank. Research methodologies and rating systems of each separate research organization may differ, for example, in terms of investment recommendations, investment horizon, model assumptions, and valuation methods. As a consequence, except for certain economic forecasts (for which UBS CIO and UBS Global Research may collaborate), investment recommendations, ratings, price targets, and valuations provided by each of the separate research organizations may be different, or inconsistent. You should refer to each relevant research product for the details as to their methodologies and rating system. Not all clients may have access to all products from every organization. Each research product is subject to the policies and procedures of the organization that produces it.

This document is provided solely to recipients who are expressly authorized by UBS to receive it. If you are not so authorized you must immediately destroy the document.

UBS Global Research is provided to our clients through UBS Neo, and in certain instances, UBS.com and any other system or distribution method specifically identified in one or more communications distributed through UBS Neo or UBS.com (each a system) as an approved means for distributing UBS Global Research. It may also be made available through third party vendors and distributed by UBS and/or third parties via e-mail or alternative electronic means.

All UBS Global Research is available on UBS Neo. Please contact your UBS sales representative if you wish to discuss your access to UBS Neo. Where UBS Global Research refers to "UBS Evidence Lab Inside" or has made use of data provided by UBS Evidence Lab and you would like to access that data please contact your UBS sales representative. UBS Evidence Lab data is available on UBS Neo. The level and types of services provided by UBS Global Research and UBS Evidence Lab to a client may vary depending upon various factors such as a client's individual preferences as to the frequency and manner of receiving communications, a client's risk profile and investment focus and perspective (e.g., market wide, sector specific, long-term, short-term, etc.), the size and scope of the overall client relationship with UBS Global Research and UBS Evidence Lab and legal and regulatory constraints. UBS HOLT and UBS Pharma Values are offerings of UBS Global Research. HOLT Lens is a corporate performance platform offering that provides an objective accounting-led framework for comparing and valuing companies and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. In particular, HOLT has a variety of warranted prices based on the scenario chosen; please mail UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research, if you are interested in the warranted price on a particular company, again subject to commercial considerations. UBS Pharma Values is an analytical tool that involves the creation of a number of individual product net present value calculations, based on published forecasts of sales for pharmaceuticals, and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. For all other specific disclaimers, please see <https://www.ubs.com/disclosures>.

When you receive UBS Global Research through a system, your access and/or use of such UBS Global Research is subject to this UBS Global Research Disclaimer and to the UBS Neo Platform Use Agreement (the "Neo Terms") together with any other relevant terms of use governing the applicable System.

When you receive UBS Global Research via a third party vendor, e-mail or other electronic means, you agree that use shall be subject to this UBS Global Research Disclaimer, the Neo Terms and where applicable the UBS Investment Bank terms of business (<https://www.ubs.com/global/en/investment-bank/regulatory.html>) and to UBS's Terms of Use/Disclaimer (<https://www.ubs.com/global/en/legalinfo2/disclaimer.html>). In addition, you consent to UBS processing your personal data and using cookies in accordance with our Privacy Statement (<https://www.ubs.com/global/en/legalinfo2/privacy.html>) and cookie notice (<https://www.ubs.com/global/en/legal/privacy/users.html>).

If you receive UBS Global Research, whether through a System or by any other means, you agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research provided via UBS Global Research or otherwise, and that you shall not extract data from any research or estimates provided to you via UBS Global Research or otherwise, without the prior written consent of UBS. You agree not to use UBS Global Research in any artificial intelligence system, without the prior written consent of UBS.

In certain circumstances you may receive UBS Global Research otherwise than in the capacity of a client of UBS and you understand and agree that under these circumstances (i) the UBS Global Research is provided to you for information purposes only; (ii) for the purposes of receiving it you are not intended to be and will not be treated as a "client" of UBS for any legal or regulatory purpose; (iii) the UBS Global Research must not be relied on or acted upon for any purpose; and (iv) such content is subject to the relevant disclaimers that follow.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is a general communication and is educational in nature; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. The recipient should carefully read this document in its entirety and not draw inferences or conclusions from the rating alone. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, structured derivative products and futures (including OTC derivatives) are not suitable for all investors. Trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "The Characteristics and Risks of Standardized Options." You may read the document at <https://www.theocc.com/publications/risks/riskchap1.jsp> or ask your salesperson for a copy. Various theoretical explanations of the risks associated with these instruments have been published. Supporting documentation for any claims, comparisons, recommendations, statistics or other technical data will be supplied upon request. Past performance is not necessarily indicative of future results. Transaction costs may be significant in option strategies calling for multiple purchases and sales of options, such as spreads and straddles. Because of the importance of tax considerations to many options transactions, the investor considering options should consult with his/her tax advisor as to how taxes affect the outcome of contemplated options transactions.

Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

UBS notes that no globally accepted framework or definition (legal, regulatory or otherwise) currently exists, nor is there a market consensus as to what constitutes an "ESG" (Environmental, Social or Governance) or an equivalent-label, or as to what precise attributes are required for the Information (as defined below) to be defined as ESG or equivalently-labelled. Any information, data or other content including from a third party source contained, referred to herein or used for whatsoever purpose by UBS or a third party ("Information"), in relation to any actual or potential ESG objective, issue or consideration is not intended to be relied upon for ESG classification, regulatory regime or industry initiative purposes ("ESG Regimes"). Nothing in these materials is intended to convey, suggest or indicate that UBS considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG classification, labelling or similar standards that may exist under the ESG Regimes. UBS has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the Information.

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a

complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes:

- (i) valuation or accounting purposes;
- (ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or
- (iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS and among its subsidiaries, branches and affiliates. UBS does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For further information on the ways in which UBS Global Research manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS Global Research recommendations, please visit <https://www.ubs.com/disclosures>.

UBS Global Research will initiate, update and cease coverage solely at the discretion of UBS Global Research Management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. All material information in relation to published research reports, such as valuation methodology, risk statements, underlying assumptions (including sensitivity analysis of those assumptions), ratings history etc. as required by the Market Abuse Regulation, can be found on UBS Neo. Different assumptions could result in materially different results.

UBS Global Research may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by UBS Global Research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms under English law or, if not carried out by UBS in the UK the law of the relevant jurisdiction in which UBS determines it carries out the activity) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Within the past 12 months UBS may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Please note that all transactions conducted by UBS are consistent with sanctions regulations imposed by Switzerland, the European Union, the United Nations, the United Kingdom and the United States, per UBS' global sanctions policy. UBS opinion as to future investment worthiness assumes no new sanctions are imposed.

US persons are prohibited from purchasing or selling securities of certain companies designated as being associated with the Chinese Military in accordance with the amended US Presidential Executive Order 13959.

United Kingdom: This material is distributed by UBS AG, London Branch to persons who are eligible counterparties or professional clients. UBS AG, London Branch is authorised by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. **Europe:** Except as otherwise specified herein, these materials are distributed by UBS Europe SE, a subsidiary of UBS AG, to persons who are eligible counterparties or professional clients (as detailed in the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) Rules and according to MiFID) and are only available to such persons. The information does not apply to, and should not be relied upon by, retail clients. UBS Europe SE is authorised by the European Central Bank (ECB) and regulated by the BaFin and the ECB. **Germany, Luxembourg, the Netherlands, Belgium and Ireland:** Where an analyst of UBS Europe SE has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE. In all cases it is distributed by UBS Europe SE and UBS AG, London Branch. **Turkey:** Distributed by UBS AG, London Branch. No information in this document is provided for the purpose of offering, marketing and sale by any means of any capital market instruments and services in the Republic of Turkey. Therefore, this document may not be considered as an offer made or to be made to residents of the Republic of Turkey. UBS AG, London Branch is not licensed by the Turkish Capital Market Board under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instruments/services may be utilized in connection with providing any capital market services to persons within the Republic of Turkey without the prior approval of the Capital Market Board. However, according to article 15 (d) (ii) of the Decree No. 32, there is no restriction on the purchase or sale of the securities abroad by residents of the Republic of Turkey. **Poland:** Distributed by UBS Europe SE (spółka z ograniczoną odpowiedzialnością) Oddział w Polsce. Where an analyst of UBS Europe SE (spółka z ograniczoną odpowiedzialnością) Oddział w Polsce has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE (spółka z ograniczoną odpowiedzialnością) Oddział w Polsce. **Russia:** Prepared and distributed by UBS Bank (OOO). Should not be construed as an individual investment Recommendation for the purpose of the Russian Law - Federal Law #39-FZ ON THE SECURITIES MARKET Articles 6.1-6.2. **Switzerland:** Distributed by UBS AG to persons who are institutional investors only. UBS AG is regulated by the Swiss Financial Market Supervisory Authority (FINMA). **Italy:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Italy Branch. Where an analyst of UBS Europe SE, Italy Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Italy Branch. **France:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, France Branch. Where an analyst of UBS Europe SE, France Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, France Branch. **Spain:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Spain Branch. Where an analyst of UBS Europe SE, Spain Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Spain Branch. **Sweden:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Sweden Branch. Where an analyst of UBS Europe SE, Sweden Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Sweden Branch. **South Africa:** Distributed by UBS South Africa (Pty) Limited (Registration No. 1995/011140/07), an authorised user of the JSE and an authorised Financial Services Provider (FSP 7328). **Saudi Arabia:** This document has been issued by UBS AG (and/or any of its subsidiaries, branches or affiliates), a public company limited by shares, incorporated in Switzerland with its registered offices at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH-8001 Zurich. This publication has been approved by UBS Saudi Arabia (a subsidiary of UBS AG), a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia under commercial register number 1010257812 having its registered office at Tatweer Towers, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. **UAE / Dubai:** The information distributed by UBS AG Dubai Branch is only intended for Professional Clients and/or Market Counterparties, as classified under the DFSA rulebook. No other person should act upon this material/communication. The information is not for further distribution within the United Arab Emirates. UBS AG Dubai Branch is regulated by the DFSA in the DIFC. UBS is not licensed to provide banking services in the UAE by the Central Bank of the UAE, nor is it licensed by the UAE Securities and Commodities Authority. **Israel:** This Material is distributed by UBS AG, London Branch. UBS Securities Israel Ltd is a licensed Investment Marketer that is supervised by the Israel Securities Authority (ISA). UBS AG, London Branch and its affiliates incorporated outside Israel are not licensed under the Israeli Advisory Law. UBS may engage among others in issuance of Financial Assets or in distribution of Financial Assets of other issuers for fees or other benefits. UBS AG, London Branch and its affiliates may prefer various Financial Assets to which they have or may have an Affiliation (as such term is defined under the Israeli Advisory Law). Nothing in this Material should be considered as investment advice under the Israeli Advisory Law. This Material is being issued only to and/or is directed only at persons who are Eligible Clients within the meaning of the Israeli Advisory Law, and this Material must not be furnished to, relied on or acted upon by any other persons. **United States:** Distributed to US persons by either UBS Securities LLC or by UBS Financial Services Inc., subsidiaries of UBS AG; or by a group, subsidiary or affiliate of UBS AG that is not registered as a US broker-dealer (a 'non-US affiliate') to major US institutional investors only. UBS Securities LLC or UBS Financial Services Inc. accepts responsibility for the content of a report prepared by another non-US affiliate when distributed to US persons by UBS Securities LLC or UBS Financial Services Inc. All transactions by a US person in the securities mentioned in this report must be effected through UBS Securities LLC or UBS Financial Services Inc., and not through a non-US affiliate. UBS Securities LLC is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule"), and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule. **Canada:** Distributed by UBS Securities Canada Inc., a registered investment dealer in Canada

and a Member-Canadian Investor Protection Fund, or by another affiliate of UBS AG that is registered to conduct business in Canada or is otherwise exempt from registration. **Brazil:** Except as otherwise specified herein, this Material is prepared by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. (UBS BB CCTVM) to persons who are eligible investors residing in Brazil, which are considered to be Professional Investors (Investidores Profissionais), as designated by the applicable regulation, mainly the CVM Resolution No. 30 from the 11th of May 2021 (determines the duty to verify the suitability of products, services and transactions with regards to the client's profile). UBS BB CCTVM is a subsidiary of UBS BB Serviços de Assessoria Financeira e Participações S.A. ("UBS BB"). UBS BB is an association between UBS AG and Banco do Brasil (through its subsidiary BB – Banco de Investimentos S.A.), of which UBS AG is the majority owner and which provides investment banking services and coverage in Brazil, Argentina, Chile, Paraguay, Peru and Uruguay. UBS BB CCTVM is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman: 0800-940-0266/ <https://www.ubs.com/br/pt/ubsbb-investment-bank/ombudsman.html>. UBS may hold relevant financial and commercial interest in relation to the company subject to this Research report. **Hong Kong:** Distributed by UBS Securities Asia Limited. Please contact local licensed persons of UBS Securities Asia Limited in respect of any matters arising from, or in connection with, the analysis or document. **Singapore:** Distributed by UBS Securities Pte. Ltd. [Co. Reg. No.: 198500648C] or UBS AG, Singapore Branch. Please contact UBS Securities Pte. Ltd., an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110); or UBS AG, Singapore Branch, an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110) and a wholesale bank licensed under the Singapore Banking Act (Cap. 19) regulated by the Monetary Authority of Singapore, in respect of any matters arising from, or in connection with, the analysis or document. The recipients of this document represent and warrant that they are accredited and institutional investors as defined in the Securities and Futures Act (Cap. 289). **Japan:** Distributed by UBS Securities Japan Co., Ltd. to professional investors (except as otherwise permitted). Where this report has been prepared by UBS Securities Japan Co., Ltd., UBS Securities Japan Co., Ltd. is the author, publisher and distributor of the report. Distributed by UBS AG, Tokyo Branch to Professional Investors (except as otherwise permitted) in relation to foreign exchange and other banking businesses when relevant. **Australia:** Clients of UBS AG: Distributed by UBS AG (ABN 47 088 129 613 and holder of Australian Financial Services License No. 231087). For all other recipients: Distributed by UBS Securities Australia Ltd (ABN 62 008 586 481 and holder of Australian Financial Services License No. 231098). This document contains general information and/or general advice only and does not constitute personal financial product advice. As such, the Information in this document has been prepared without taking into account any investor's objectives, financial situation or needs, and investors should, before acting on the Information, consider the appropriateness of the Information, having regard to their objectives, financial situation and needs. If the Information contained in this document relates to the acquisition, or potential acquisition of a particular financial product by a 'Retail' client as defined by section 761G of the Corporations Act 2001 where a Product Disclosure Statement would be required, the retail client should obtain and consider the Product Disclosure Statement relating to the product before making any decision about whether to acquire the product. **New Zealand:** Distributed by UBS New Zealand Ltd. UBS New Zealand Ltd is not a registered bank in New Zealand. You are being provided with this publication or material because you have indicated to UBS that you are a "wholesale client" within the meaning of clause 4 of schedule 5 of the Financial Markets Conduct Act 2013 of New Zealand (Permitted Client). This publication or material is not intended for clients who are not Permitted Clients (non-permitted Clients). If you are a non-permitted Client you must not rely on this publication or material. If despite this warning you nevertheless rely on this publication or material, you hereby (i) acknowledge that you may not rely on the content of this publication or material and that any recommendations or opinions in such this publication or material are not made or provided to you, and (ii) to the maximum extent permitted by law (a) indemnify UBS and its associates or related entities (and their respective Directors, officers, agents and Advisors) (each a 'Relevant Person') for any loss, damage, liability or claim any of them may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or material and (b) waive any rights or remedies you may have against any Relevant Person for (or in respect of) any loss, damage, liability or claim you may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or material. **Korea:** Distributed in Korea by UBS Securities Pte. Ltd., Seoul Branch. This report may have been edited or contributed to from time to time by affiliates of UBS Securities Pte. Ltd., Seoul Branch. This material is intended for professional/institutional clients only and not for distribution to any retail clients. **Malaysia:** This material is authorized to be distributed in Malaysia by UBS Securities Malaysia Sdn. Bhd (Capital Markets Services License No.: CMSL/A0063/2007). This material is intended for professional/institutional clients only and not for distribution to any retail clients. **India:** Distributed by UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) Unit 2901, Level 29 Altimus, Pandurang Budhkar Road, Worli, Mumbai – 400 018. It provides brokerage services bearing SEBI Registration Number: INZ000259830; Merchant Banking services bearing SEBI Registration Number: INM000013101; and Research Analyst services bearing SEBI Registration Number: INH000001204. Name of Compliance Officer Mr. Parameshwaran Shivaramakrishnan, Phone : +912261556151, Email : parameshwaran.s@ubs.com, Name of Grievance Officer Parameshwaran Shivaramakrishnan, Phone : +912261556151, Email: ol-ubs-sec-compliance@ubs.com Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS may have debt holdings or positions in the subject Indian company/companies. UBS may have financial interests (e.g. loan/derivative products, rights to or interests in investments, etc.) in the subject Indian company / companies from time to time. Within the past 12 months, UBS may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS during the 12 months preceding the date of distribution of the research report with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html The Research Annual Compliance Report for UBS Securities India Private Limited is available on www.ubs.com/ubbsi under Research tab. **Taiwan:** Except as otherwise specified herein, this material may not be distributed in Taiwan. Information and material on securities/instruments that are traded in a Taiwan organized exchange is deemed to be issued and distributed by UBS Securities Pte. Ltd., Taipei Branch to professional institutional investors and/or persons permitted under applicable regulation. Unless permitted by applicable Taiwan laws and regulations, this material is for reference and information only and should not constitute "recommendation" to clients or recipients in Taiwan for the covered companies or any companies mentioned in this document. No portion of the document may be reprinted, reproduced or quoted by the press or any other person without authorisation from UBS. **Indonesia:** This report is being distributed by PT UBS Sekuritas Indonesia and is delivered by its licensed employee(s), including marketing/sales person, to its client. PT UBS Sekuritas Indonesia, having its registered office at Sequis Tower Level 22 unit 22-1, Jl. Jend. Sudirman, kav.71, SCBD lot 11B, Jakarta 12190. Indonesia, is a subsidiary company of UBS AG and licensed under Capital Market Law no. 8 year 1995, a holder of broker-dealer and underwriter licenses issued by the Capital Market and Financial Institution Supervisory Agency (now Otoritas Jasa Keuangan/OJK). PT UBS Sekuritas Indonesia is also a member of Indonesia Stock Exchange and supervised by Otoritas Jasa Keuangan (OJK). Neither this report nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This report is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstance which constitutes an offering within the meaning of Indonesian capital market laws and regulations.

The disclosures contained in research documents produced by UBS AG, London Branch or UBS Europe SE shall be governed by and construed in accordance with English law.

UBS specifically prohibits the redistribution of this document in whole or in part without the written permission of UBS and in any event UBS accepts no liability whatsoever for any redistribution of this document or its contents or the actions of third parties in this respect. Images may depict objects or elements that are protected by third party copyright, trademarks and other intellectual property rights. © UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

Global Wealth Management Disclaimer

You receive this document in your capacity as a client of UBS Global Wealth Management. This publication has been distributed to you by UBS Switzerland AG (regulated by FINMA in Switzerland) or its affiliates ("**UBS**") with whom you have a banking relationship with. The full name of the distributing affiliate and its competent authority can be found in the country-specific disclaimer at the end of this document. UBS may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The date and time of the first dissemination of this publication is the same as the date and time of its publication.

Risk information:

You agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research, and that you shall not extract data from any research or estimates, without the prior written consent of UBS.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is **for your information only**; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, derivative products and futures are not suitable for all investors, and trading in these instruments is considered risky. Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may

adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the information (as defined below).

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any opinions expressed in this document may change without notice and may differ or be contrary to opinions expressed by other business areas or groups, personnel or other representative of UBS. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes: (i) valuation or accounting purposes; (ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or (iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS (including between Global Wealth Management and UBS Global Research) and among its subsidiaries, branches and affiliates. For further information on the ways in which UBS manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS research recommendations, please visit <https://www.ubs.com/research-methodology>.

Research will initiate, update and cease coverage solely at the discretion of research management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. Different assumptions could result in materially different results.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS's subsidiaries, branches and affiliates as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS AG, its affiliates or subsidiaries (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms in the UK) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Options and futures are not suitable for all investors, and trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "Characteristics and Risks of Standardized Options". You may read the document at <https://www.theocc.com/about/publications/character-risks.jsp> or ask your financial advisor for a copy.

Investing in structured investments involves significant risks. For a detailed discussion of the risks involved in investing in any particular structured investment, you must read the relevant offering materials for that investment. Structured investments are unsecured obligations of a particular issuer with returns linked to the performance of an underlying asset. Depending on the terms of the investment, investors could lose all or a substantial portion of their investment based on the performance of the underlying asset. Investors could also lose their entire investment if the issuer becomes insolvent. UBS does not guarantee in any way the obligations or the financial condition of any issuer or the accuracy of any financial information provided by any issuer. Structured investments are not traditional investments and investing in a structured investment is not equivalent to investing directly in the underlying asset. Structured investments may have limited or no liquidity, and investors should be prepared to hold their investment to maturity. The return of structured investments may be limited by a maximum gain, participation rate or other feature. Structured investments may include call features and, if a structured investment is called early, investors would not earn any further return and may not be able to reinvest in similar investments with similar terms. Structured investments include costs and fees which are generally embedded in the price of the investment. The tax treatment of a structured investment may be complex and may differ from a direct investment in the underlying asset. UBS and its employees do not provide tax advice. Investors should consult their own tax advisor about their own tax situation before investing in any securities.

Important Information About Sustainable Investing Strategies: Sustainable investing strategies aim to consider and incorporate environmental, social and governance (ESG) factors into investment process and portfolio construction. Strategies across geographies approach ESG analysis and incorporate the findings in a variety of ways. Incorporating ESG factors or sustainable investing considerations may inhibit the portfolio manager's ability to participate in certain investment opportunities that otherwise would be consistent with its investment objective and other principal investment strategies. The returns on a portfolio incorporating ESG factors or sustainable investing considerations may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered by the portfolio manager, and the investment opportunities available to such portfolios may differ.

Within the past 12 months UBS Switzerland AG, its affiliates or subsidiaries may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Disclosures: If you require detailed information on disclosures of interest or conflict of interest as required by Market Abuse Regulation please contact the mailbox MAR_disclosure_twopager@ubs.com. Please note that e-mail communication is unsecured.

External Asset Managers / External Financial Consultants: In case this research or publication is provided to an External Asset Manager or an External Financial Consultant, UBS expressly prohibits that it is redistributed by the External Asset Manager or the External Financial Consultant and is made available to their clients and/or third parties.

Argentina: All securities that will be offered to you by UBS are not authorized by the Argentine Securities and Exchange Commission (CNV) and are not subject to its reporting, periodic information requirements, or oversight. Furthermore, the CNV has not reviewed or endorsed the information provided in any securities offering document, nor the accuracy of any accounting, financial, economic data, or any other information disclosed therein, which remains the sole responsibility of the respective issuer and the other parties involved. **Australia:** This document is provided by UBS Switzerland AG. UBS Switzerland AG does not hold an Australian Financial Services Licence (AFSL) and relies on an exemption to provide financial services to persons in Australia. This document is intended only for distribution to wholesale clients under the Corporations Act 2001 (Cth). UBS Switzerland AG is a related body corporate of UBS AG, Australia Branch and UBS Securities Australia Limited. This document may be distributed to clients by those entities, but it is provided by UBS Switzerland AG and is not provided under any of the other entities' AFSL. The information in this document is general in nature and is not intended to address the objectives, financial situation or needs of any particular individual or entity. Each recipient should consider their own objectives, financial situation or needs before acting on the advice and obtain the relevant Product Disclosure Statement (if required) before making any decision whether to acquire any product. In Australia, UBS entities, other than UBS AG, Australia Branch, are not authorized deposit-taking institutions for the purposes of the Banking Act 1959 (Cth.) and their obligations do not represent deposits or other liabilities of UBS AG, Australia Branch. UBS AG, Australia Branch does not guarantee or otherwise provide assurance in respect of the obligations of such UBS entities or the funds. An investor is exposed to investment risk including possible delays in repayment and loss of income and principal invested, as relevant. If you do not wish to receive marketing materials from UBS, please contact your UBS representative or the contact details listed in the Australia Privacy Notice: <https://www.ubs.com/global/en/legal/privacy.html>. Your personal data will be processed in accordance with this notice. **Bahrain:** This report is being distributed by UBS AG, Bahrain Branch, duly licensed and regulated by the Central Bank of Bahrain (CBB) as an Investment Business Firm - Category 2 (Branch). Related financial services or products are only made available to Accredited Investors, as defined by the CBB, and are not intended for any other persons. UBS AG, Bahrain Branch is

a Foreign Branch of UBS AG, Zurich/Switzerland and is located on Level 21, East Tower, Bahrain World Trade Centre, Manama, Kingdom of Bahrain. **Brazil:** This report is distributed in Brazil by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. or its affiliates ("UBS"). Pursuant to CVM Resolution No. 20/2021, of February 25, 2021, the author(s) of the report hereby certify(ies) that the views expressed in this report solely and exclusively reflect their personal opinions and have been prepared independently, including with respect to UBS. Part of the author(s)'s compensation is based on various factors, including the total revenues of the relevant UBS Group entity of which they are in employment of, but no part of the compensation has been, is, or will be related to the specific recommendations or views expressed in this report. In addition, UBS declares that: UBS has provided, and/or may in the future provide investment banking, brokerage, asset management, commercial banking and other financial services to the subject company/companies or its affiliates, for which they have received or may receive customary fees and commissions, and which constituted or may constitute relevant financial or commercial interests in relation to the subject company/companies or the subject securities. **Canada:** The information contained herein is not, and under no circumstances is to be construed as, a prospectus, an advertisement, a public offering, an offer to sell securities described herein, solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. Under no circumstances is the information contained herein to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada or, alternatively, pursuant to a dealer registration exemption. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed upon these materials, the information contained herein or the merits of the securities described herein and any representation to the contrary is an offence. In Canada, this publication is distributed by UBS Investment Management Canada Inc. **China:** This report and any offering material such as term sheet, research report, other product or service documentation or any other information (the "Material") sent with this report was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the material erroneously, UBS asks that you kindly delete it and inform UBS immediately. This report is prepared by UBS Switzerland AG or its offshore subsidiary or affiliate (collectively as "UBS Offshore"). UBS Offshore is an entity incorporated out of China and is not licensed, supervised or regulated in China to carry out banking or securities business. The recipient should not contact the analysts or UBS Offshore which produced this report for advice as they are not licensed to provide securities investment advice in China. UBS Investment Bank (including Research) has its own wholly independent research and views which at times may vary from the views of UBS Global Wealth Management. The recipient should not use this document or otherwise rely on any of the information contained in this report in making investment decisions and UBS takes no responsibility in this regard. **Denmark:** This publication is not intended to constitute a public offer under Danish law. It is distributed only for information purposes to clients of UBS Europe SE, Denmark Branch, filial af UBS Europe SE, with place of business at Sankt Annæ Plads 13, 1250 Copenhagen, Denmark, registered with the Danish Commerce and Companies Agency, under No. 38 17 24 33. UBS Europe SE, Denmark Branch, filial af UBS Europe SE is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Danish Financial Supervisory Authority (Finanstilsynet), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Egypt:** Securities or other investment products are not being offered or sold by UBS to the public in Egypt and they have not been and will not be registered with the Egyptian Financial Regulatory Authority (FRA). **France:** This publication is not intended to constitute a public offer under French law, it does not constitute a personal recommendation as it is distributed only for information purposes to clients of UBS Europe SE Succursale de France (a branch of UBS Europe SE), having its registered office at 39, rue du Colisée, 75008 Paris, France, registered with the "Registre du Commerce et des Sociétés" of Paris under N°844 425 629. UBS Europe SE Succursale de France is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the French "Autorité de contrôle prudentiel et de résolution" and "Autorité des marchés financiers", to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Germany:** This publication is not intended to constitute a public offer under German law. It is distributed only for information purposes to clients of UBS Europe SE, Germany, with place of business at Bockenheimer Landstrasse 2-4, 60306 Frankfurt am Main. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and supervised jointly by the European Central Bank, the German Central Bank (Deutsche Bundesbank) and BaFin, to which this publication has not been submitted for approval. **Hong Kong SAR:** This publication is distributed to clients of UBS AG Hong Kong Branch by UBS AG Hong Kong Branch, a licensed bank under the Hong Kong Banking Ordinance and a registered institution under the Securities and Futures Ordinance. UBS AG Hong Kong Branch is incorporated in Switzerland with limited liability. The contents of this material have not been reviewed by any regulatory authority in Hong Kong. **India:** UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) 2/F, 3 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai (India) 400051. Phone: +912261556000. It provides brokerage services bearing SEBI Registration Number: INZ000259830; Merchant Banking services bearing SEBI Registration Number: INM000013101 and Research Analyst services bearing SEBI Registration Number: INH000001204. Name of Compliance Officer Mr. Parameshwaran Shivaramakrishnan, Phone: +912261556151, Email: parameshwaran.s@ubs.com, Name of Grievance Officer Parameshwaran Shivaramakrishnan, Phone: +912261556151, Email: ol-ubs-sec-compliance@ubs.com. Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS AG, its affiliates or subsidiaries may have debt holdings or positions in the subject Indian company/companies. UBS AG, its affiliates or subsidiaries may have financial interests (e.g. loan/derivative products, rights to or interests in investments, etc.) in the subject Indian company/companies from time to time. Within the past 12 months, UBS AG, its affiliates or subsidiaries may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/client of UBS AG, its affiliates or subsidiaries during the 12 months preceding the date of distribution of the research report with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html. The Research Annual Compliance report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under Research tab. **Indonesia:** This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed without the consent of UBS. None of the Material has been registered or filed under the prevailing laws and with any financial or regulatory authority in your jurisdiction. The Material may not have been approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including futures contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Israel:** UBS is a premier global financial firm offering wealth management, asset management and investment banking services from its headquarters in Switzerland and its operations in over 50 countries worldwide to individual, corporate and institutional investors. This publication is intended for information only and is not intended as an offer to buy or solicitation of an offer. Furthermore, this publication is not intended as an investment advice. Nothing contrary to the above, no action has been, or will be, taken in Israel that would permit an offering of the product(s) mentioned in this document or a distribution of this document to the public in Israel. In particular, this document has not been reviewed or approved by the Israeli Securities Authority. The product(s) mentioned in this document is/are being offered to a limited number of sophisticated investors who qualify as one of the investors listed in the first supplement to the Israeli Securities Law, 5728-1968. This document may not be reproduced or used for any other purpose, nor be furnished to any other person other than those to whom copies have been sent. Anyone who purchases the product(s) mentioned herein shall do so for its own benefit and for its own account and not with the aim or intention of distributing or offering the product(s) to other parties. Anyone who purchases the product(s) shall do so in accordance with its own understanding and discretion and after it has received any relevant financial, legal, business, tax or other advice or opinion required by it in connection with such purchase(s). The word "advice" and/or any of its equivalent terms shall be read and construed in conjunction with the definition of the term "investment marketing" as defined under the Israeli Regulation of Investment Advice, Investment Marketing and Portfolio Management Law. The Swiss laws and regulations require a number of mandatory disclosures to be made in independent financial research reports or recommendations. Pursuant to the Swiss Financial Market Infrastructure Act and the Financial Market Infrastructure Ordinance-FINMA, banks must disclose the percentage of voting rights they hold in companies being researched, if these holdings are equal to or exceed the statutory thresholds. In addition, the Directives on the Independence of Financial Research, issued by the Swiss Bankers Association, mandate a number of disclosures, including the disclosure of potential conflicts of interest, the participation within previous 12 months in any securities issues on behalf of the company being researched, as well as the fact that remuneration paid to the financial analysts is based generally upon the performance of (i) the new issues department or investment banking; or (ii) securities trading performance (including proprietary trading) or sales. **Italy:** This publication is not intended to constitute a public offer under Italian law. It is distributed only for information purposes to clients of UBS Europe SE, Succursale Italia, with place of business at Via del Vecchio Politecnico, 3-20121 Milano. UBS Europe SE, Succursale Italia is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Bank of Italy (Banca d'Italia) and the Italian Financial Markets Supervisory Authority (CONSOB - Commissione Nazionale per le Società e la Borsa), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Japan:** This report is solely distributed in Japan by UBS SuMi TRUST Wealth Management Co., Ltd, Financial Instruments Dealer, Director-General of Kanto Local Finance Bureau (Kinsho) No. 3233, a member of the Japan Securities Dealers Association, Financial Futures Association of Japan, Investment Management Association of Japan. UBS SuMi TRUST Wealth Management Co., Ltd will not distribute or

forward this report outside Japan. **Jersey:** UBS AG, Jersey Branch, is regulated and authorized by the Jersey Financial Services Commission for the conduct of banking, funds and investment business. Where services are provided from outside Jersey, they will not be covered by the Jersey regulatory regime. UBS AG, Jersey Branch is a branch of UBS AG a public company limited by shares, incorporated in Switzerland whose registered offices are at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH 8001 Zurich. UBS AG, Jersey Branch's principal place of business is 1, IFC Jersey, St Helier, Jersey, JE2 3BX. **Luxembourg:** This publication is not intended to constitute a public offer under Luxembourg law. It is distributed only for information purposes to clients of UBS Europe SE, Luxembourg Branch ("UBS Luxembourg"), R.C.S. Luxembourg n° B209123, with registered office at 33A, Avenue J. F. Kennedy, L-1855 Luxembourg. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and subject to the joint prudential supervision of BaFin, the European Central Bank and the central bank of Germany (Deutsche Bundesbank). UBS Luxembourg is furthermore supervised by the Luxembourg prudential supervisory authority (Commission de Surveillance du Secteur Financier), in its role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Malaysia:** This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Mexico:** This information is distributed by UBS Asesores México, S.A. de C.V. ("UBS Asesores"), an affiliate of UBS Switzerland AG, incorporated as a non-independent investment advisor under the Mexican regulation due to the relation with a Foreign Bank. UBS Asesores is registered under number 30060-001-(14115)-21/06/2016 and subject to the supervision of the Mexican Banking and Securities Commission ("CNBV") exclusively regarding the rendering of (i) portfolio management services, (ii) securities investment advisory services, analysis and issuance of individual investment recommendations, and (iii) anti-money laundering and terrorism financing matters. This UBS publication or any material related thereto is addressed only to Sophisticated or Institutional Investors located in Mexico. Research reports only reflect the views of the analysts responsible for the report. The compensation of the analyst(s) who prepared this report is determined exclusively by research management and senior management of any entity of UBS Group to which such analyst(s) render(s) services. **Monaco:** This document is not intended to constitute a public offering or a comparable solicitation under the Principality of Monaco laws, but might be made available for information purposes to clients of UBS (Monaco) S.A., a regulated bank having its registered office at 2 avenue de Grande Bretagne 98000 Monaco operating under a banking license granted by the "Autorité de Contrôle Prudentiel et de Résolution" (ACPR) and the Monegasque government which authorizes the provision of banking services in Monaco. UBS (Monaco) S.A. is also licensed by the "Commission de Contrôle des Activités Financières" (CCAF) to provide investment services in Monaco. The latter has not approved this publication. **Philippines:** This communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Portugal:** UBS Switzerland AG is not licensed to conduct banking and financial activities in Portugal nor is UBS Switzerland AG supervised by the Portuguese regulators (Bank of Portugal "Banco de Portugal" and Portuguese Securities Exchange Commission "Comissão do Mercado de Valores Mobiliários"). **Qatar:** UBS Qatar LLC is licensed by the Qatar Financial Centre Authority and authorized by the QFC Regulatory Authority, with QFC no. 01169, and has its registered office at Building No. 36, 4th Floor, Abdulla Bin Thani Street, Doha Design District 1, Msheireb Downtown Doha, State of Qatar. This material is strictly intended for Eligible Counterparties and/or Business Customers only as classified under the QFCRA's Customer and Investor Protection Rules 2019. No other person should act upon this material. **Russia:** This document or information contained therein is for information purposes only and constitutes neither a public nor a private offering, is not an invitation to make offers, to sell, exchange or otherwise transfer any financial instruments in the Russian Federation to or for the benefit of any Russian person or entity and does not constitute an advertisement or offering of securities in the Russian Federation within the meaning of Russian securities laws. The information contained herein is not an "individual investment recommendation" as defined in Federal Law of 22 April 1996 No 39-FZ "On Securities Market" (as amended) and the financial instruments and operations specified herein may not be suitable for your investment profile or your investment goals or expectations. The determination of whether or not such financial instruments and operations are in your interests or are suitable for your investment goals, investment horizon or the acceptable risk level is your responsibility. We assume no liability for any losses connected with making any such operations or investing into any such financial instruments and we do not recommend to use such information as the only source of information for making an investment decision. **Saudi Arabia:** This material is for marketing and information purposes by UBS Saudi Arabia only. It has been distributed by UBS Saudi Arabia or reviewed and approved by UBS Saudi Arabia if it was issued by UBS Switzerland AG, by UBS AG, or any of its subsidiaries or branches. UBS Switzerland AG is a public company limited by shares, incorporated in Switzerland with its registered offices at Bahnhofstrasse 45, CH-8001 Zurich. UBS Saudi Arabia (a subsidiary of UBS AG) is a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia with a paid capital of 110,000,000 Saudi Riyals under commercial register number 1010257812 having its registered office at Laysen Valley, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. This document is distributed only under such circumstances as may be permitted by applicable laws and regulations. The information and – if any – opinions contained in this document have been compiled or arrived at based upon information obtained from sources believed to be reliable and in good faith, but is not guaranteed as being accurate, nor is it a complete statement or summary of the securities, markets or developments referred to in the document. All such information and opinions are subject to changes without notice. Past performance of investments (whether simulated or actual) is not necessarily an indicator of future results. Forward looking data is based on estimates that are subject to changes. Should the currency of a financial product or service not match your reference currency, performance may rise or fall due to currency fluctuations. UBS Switzerland AG and / or other members of the UBS Group may have a position in and may make a purchase and/or sale of any of the securities or other financial instruments mentioned in this document While statements that constitute "forward-looking statements", including, but not limited to, statements relating to our future business development represent UBS judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors could cause actual developments and results to differ materially from our expectations. This document may not be forwarded, reproduced, redistributed or republished for any purpose without the written permission of UBS Saudi Arabia. Source for all data and charts (if not indicated otherwise) is UBS Switzerland AG. **Singapore:** Where applicable, this material is distributed in Singapore by UBS AG, Singapore Branch, which is licensed by the Monetary Authority of Singapore under the Banking Act 1970 to carry on banking business. UBS AG is incorporated in Switzerland with limited liability. UBS AG has a branch registered in Singapore (UEN S98FC5560C). This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (each as defined under the Financial Advisers Regulations (the "FAR")) only. By virtue of your status as an institutional investor, accredited investor, or expert investor, UBS AG is exempted from complying with certain requirements under the Financial Advisers Act 2001 (the "FAA"), the FAR and the relevant Notices and Guidelines issued thereunder, in respect of any financial advisory service which UBS AG may provide to you. These include exemptions from complying with: Section 34 of the FAA (pursuant to Regulation 33(1) of the FAR); Section 36 of the FAA (pursuant to Regulation 34(1) of the FAR); and Section 45 of the FAA (pursuant to Regulation 35(1) of the FAR). Singapore recipients and clients of UBS AG, Singapore Branch should contact UBS AG, Singapore Branch for any matters arising from, or in connection with, this material. Where applicable, this communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved or endorsed by any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Spain:** This report is distributed in Spain by UBS AG, Sucursal en España, authorized under number 1460 in the Register by the Banco de España. **Sweden:** This publication is not intended to constitute a public offer under Swedish law. It is distributed only for information purposes to clients of UBS Europe SE, Sweden Bankfilial, with place of business at Regeringsgatan 38, 11153 Stockholm, Sweden, registered

with the Swedish Companies Registration Office under Reg. No 516406-1011. UBS Europe SE, Sweden Bankfilial is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Swedish supervisory authority (Finansinspektionen), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Taiwan:** This material is provided by UBS AG, Taipei Branch in accordance with laws of Taiwan, in agreement with or at the request of clients/prospects. **Thailand:** This communication and any offering material, term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication were done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Türkiye:** The information in this document is not provided for the purpose of offering, marketing or sale of any capital market instrument or service in the Republic of Türkiye. Therefore, this document may not be considered as an offer made, or to be made, to residents of the Republic of Türkiye in the Republic of Türkiye. UBS Switzerland AG is not licensed by the Capital Markets Board of Türkiye (the CMB) under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instrument/service may be utilized in connection with providing any capital market services to persons within the Republic of Türkiye without the prior approval of the CMB. However, according to article 15 (d) (ii) of the Decree No. 32 residents of the Republic of Türkiye are allowed to purchase or sell the financial instruments traded in financial markets outside of the Republic of Türkiye. Further to this, pursuant to article 9 of the Communiqué on Principles Regarding Investment Services, Activities and Ancillary Services No. III-37.1, investment services provided abroad to residents of the Republic of Türkiye based on their own initiative are not restricted. **United Arab Emirates (UAE) / DIFC / Abu Dhabi:** UBS is not licensed in the UAE by the Central Bank of the UAE nor by the Emirates' Securities and Commodities Authority and does not undertake banking activities in the UAE. This document is provided for your information only and does not constitute financial advice. **DIFC:** UBS AG Dubai Branch is regulated by the DFSA in the DIFC. This material is strictly intended for Professional Clients and/or Market Counterparties only as classified under the DFSA rulebook. It should not be distributed to Retail Clients. The Investment Research is provided for information purposes only and is not a recommendation or offer to buy/sell/hold a particular investment. The investment research may be out of date. You should seek investment advice before acting on the basis of the Investment Research. **Abu Dhabi:** UBS AG Abu Dhabi Branch is licensed and regulated by the Financial Services Regulatory Authority ("FSRA") of the Abu Dhabi Global Market. This material is intended solely for professional clients or market counterparties, as defined in the rules of the FSRA. It is not directed at, nor intended for, retail clients or any person who does not meet the criteria of a professional client or market counterparty. **United Kingdom:** This document is issued by UBS Wealth Management, a division of UBS AG which is authorised and regulated by the Financial Market Supervisory Authority in Switzerland. In the United Kingdom, UBS AG is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of regulation by the Prudential Regulation Authority are available from us on request. A member of the London Stock Exchange. This publication is distributed to retail clients of UBS Wealth Management. **Ukraine:** UBS is a premier global financial services firm offering wealth management services to individual, corporate and institutional investors. UBS is established in Switzerland and operates under Swiss law and in over 50 countries and from all major financial centers. UBS is not registered and licensed as a bank/financial institution under Ukrainian legislation and does not provide banking and other financial services in Ukraine. UBS has not made, and will not make, any offer of the mentioned products to the public in Ukraine. No action has been taken to authorize an offer of the mentioned products to the public in Ukraine and the distribution of this document shall not constitute financial services for the purposes of the Law of Ukraine "On Financial Services and Financial Companies" dated 14 December 2021. Any offer of the mentioned products shall not constitute an investment advice, public offer, circulation, transfer, safekeeping, holding or custody of securities in the territory of Ukraine. Accordingly, nothing in this document or any other document, information or communication related to the mentioned products shall be interpreted as containing an offer, a public offer or invitation to offer or to a public offer, or solicitation of securities in the territory of Ukraine or investment advice under Ukrainian law. Electronic communication must not be considered as an offer to enter into an electronic agreement or other electronic instrument within the meaning of the Law of Ukraine "On Electronic Commerce" dated 3 September 2015. This document is strictly for private use by its holder and may not be passed on to third parties or otherwise publicly distributed. **USA:** Distributed to US persons only by UBS Financial Services Inc. or UBS Securities LLC, subsidiaries of UBS AG. UBS Switzerland AG, UBS Europe SE, UBS Bank, S.A., UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A., UBS Asesores México, S.A. de C.V., UBS SuMi TRUST Wealth Management Co., Ltd., UBS Wealth Management Israel Ltd. and UBS Menkul Degerler AS are affiliates of UBS AG. **UBS Financial Services Inc. accepts responsibility for the content of a report prepared by a non-US affiliate when it distributes reports to US persons. All transactions by a US person in the securities mentioned in this report should be effected through a US-registered broker dealer affiliated with UBS, and not through a non-US affiliate. The contents of this report have not been and will not be approved by any securities or investment authority in the United States or elsewhere. UBS Financial Services Inc. is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule") and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule.** For information on the ways in which UBS Securities LLC manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit <https://www.ubs.com/disclosures>.

© UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

